



Annual financial statements

for the year ended 28 February 2026





Contents

REPORTS

Directors' responsibility for the annual financial statements	3
Declaration by the company secretary	3
CEO and CFO responsibility statement	3

AUDIT COMMITTEE REPORT

Audit committee report	5
------------------------	---

DIRECTORS' REPORT

Directors' report	8
-------------------	---

INDEPENDENT AUDITOR'S REPORT

Independent auditor's report	13
------------------------------	----

COMPANY ANNUAL FINANCIAL STATEMENTS

Statement of financial position	18
Statement of comprehensive income	18
Statement of cash flows	19
Statement of changes in equity	19
Notes to the annual financial statements	20

APPENDICES

THE FOLLOWING INFORMATION DOES NOT FORM PART OF THE ANNUAL FINANCIAL STATEMENTS AND HAS NOT BEEN AUDITED:

Appendix 1: Shareholder analysis	64
Glossary	66

The annual financial statements for the year ended 28 February 2026 have been audited by PricewaterhouseCoopers Inc., in compliance with the applicable requirements of the Companies Act, 2008. The audited annual financial statements were prepared under the supervision of Ms L Razack, CA(SA).



QUICK NAVIGATION TOOLS



This report is best viewed in **Adobe Acrobat**. Navigation tools at the top right of each page are indicated as follows:

←
RETURN TO
PREVIOUS
VIEW

⏪
PREVIOUS
1 PAGE

🏠
CONTENTS
PAGE

⏩
NEXT
1 PAGE



Reports



Directors' responsibility for the annual financial statements

The Company's directors are responsible for the preparation and fair presentation of the annual financial statements, comprising the statements of financial position at 28 February 2026, and the statements of comprehensive income, the statements of changes in equity and statements of cash flows for the year then ended, and the notes to the annual financial statements, which include a summary of significant accounting policies and other explanatory notes, and the directors' report, in accordance with IFRS Accounting Standards, the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee, the JSE Listings Requirements and the requirements of the South African Companies Act 71 of 2008.

The directors' responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of these financial statements that are free from material misstatement, whether due to fraud or error; maintaining adequate accounting records and an effective system of risk management; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances. The directors are also responsible for the controls over, and security of, the website and, where applicable, for establishing and controlling the process for electronically distributing annual reports and other financial information to shareholders and to the Companies and Intellectual Property Commission.

The directors have made an assessment of the Company's ability to continue as a going concern and have no reason to believe the business will not be a going concern in the year ahead.

The auditor is responsible for reporting on whether the annual financial statements are fairly presented in accordance with the applicable financial reporting framework.

The annual financial statements of Equites Property Fund Limited set out on pages 18 to 62, were approved by the board of directors on 13 May 2026 and are signed on its behalf by:

Leon Campher
Chairman

Andrea Taverna-Turisan
Chief Executive Officer

Declaration by the company secretary

In terms of section 88(2)(e) of the Companies Act and in my capacity as company secretary, I hereby confirm, in terms of the Companies Act that, for the year ended 28 February 2026, the Company has lodged with the Companies and Intellectual Property Commission all such returns as are required of a public company and that all such returns are true, correct and up to date.

Thabo Vilakazi
Company Secretary

CEO and CFO Responsibility Statement

Each of the directors, whose names are stated below, hereby confirm that:

- The annual financial statements set out on pages 18 to 62 fairly present in all material respects the financial position, financial performance and cash flows of the issuer in terms of IFRS Accounting Standards;
- To the best of our knowledge and belief, no facts have been omitted or untrue statements made that would make the annual financial statements false or misleading;
- Internal financial controls have been put in place to ensure that material information relating to the issuer and its consolidated subsidiaries have been provided to effectively prepare the annual financial statements of the issuer;
- The internal financial controls are adequate and effective and can be relied upon in compiling the annual financial statements, having fulfilled our role and function as executive directors with primary responsibility for implementation and execution of controls;
- Where we are not satisfied, we have disclosed to the audit committee and the auditors any deficiencies in design and operational effectiveness of the internal financial controls and have remediated any deficiencies; and
- We are not aware of any fraud involving directors.

Andrea Taverna-Turisan
Chief Executive Officer

Laila Razack
Chief Financial Officer

Signatures are not included here for security purposes.



Audit committee report



Audit committee report

For the year ended 28 February 2026

The Audit Committee (“the committee”) takes pleasure in presenting its report for the financial year ended 28 February 2026.

TERMS OF REFERENCE

The committee acts in accordance with its terms of reference which governs their roles and responsibilities. These terms of reference include the statutory requirements of the Companies Act and the King IV Report on Corporate Governance for South Africa, as well as certain responsibilities delegated to it by the board.

The committee is mainly responsible for ongoing oversight and review of the following areas:

- Effectiveness of the internal financial controls and compliance with laws and regulations
- Annual financial statements and any other financial information presented to shareholders and ensuring compliance with IFRS Accounting Standards
- Integrated reporting and consideration of the factors and risks that could impact on the integrity of the integrated report
- Internal audit function
- Appointment and assessment of the independence of the external auditor and external audit reports
- Non-audit services provided by the external auditors
- Solvency and liquidity position and the going concern assessment
- Monitoring the REIT status

The committee confirms that it has fulfilled all its statutory obligations, as well as its responsibilities under its terms of reference for the year ended 28 February 2026.

COMMITTEE COMPOSITION

The terms of reference require an annual evaluation of the performance of the committee and its members, as well as confirmation of the members' independence in terms of King IV and the Companies Act.

The committee comprises of the following members, as elected at the AGM held on 13 August 2025:

- Fulvio Tonelli (Chair) CA(SA); BCom (Hons)
- Doug Murray BA Accountancy & Finance, CA
- Keabetswe Ntuli CA(SA); BAcc (Hons)
- Mustaq Brey CA(SA); BCompt (Hons).

Cindy Robertson CA(SA); BCom (Hons) was appointed to the Board and the committee on 1 September 2025.

All committee members are independent non-executive directors. The outcome of the annual evaluation and confirmation of independence, respectively, was satisfactory.

The committee met three times during the year and included the below attendees by invitation:

- Chief Financial Officer
- Treasurer
- Head of Finance
- Internal Auditor
- Representation from the outgoing and incoming external auditors
- Chief Executive Officer
- Chief Operating Officer
- Company Secretary
- Chairperson of the Board.

MATTERS ADDRESSED

The committee has addressed the below matters during the year:

FINANCIAL RESULTS

- Reviewed the 2025 Consolidated and Separate Annual Financial Statements and Integrated Report, and recommended the financial results and dividend declaration to the Board for approval
- Reviewed the solvency and liquidity position and the going concern assessment
- Reviewed the valuation methodology and process implemented by management
- Reviewed the CEO and CFO attestation of financial controls
- Reviewed the 2026 Interim financial results and recommended the results and dividend declaration to the Board for approval
- Reviewed the quarterly management accounts to monitor financial performance
- Reviewed the material matters to be disclosed in the 2026 Integrated Report.

EXTERNAL AUDITORS

- Considered feedback from the external auditors
- Approved non-audit fees to PricewaterhouseCoopers Inc. (“PwC”)
- Evaluated the proposals and interviewed prospective audit firms
- Recommended the appointment of Deloitte & Touche (“Deloitte”) as external auditor, including the designated partner, for the year ending 28 February 2027
- Approved the external audit plan for FY26 and the proposed audit fee.

DEBT

- Monitored compliance with debt covenants.
- Internal Audit
- Considered the findings from the internal audit report
- Reviewed and approved the internal audit plan for the year.

COMPLIANCE

- Approved the committee planner for the year
- Monitored the Company REIT status
- Review & update the committee's terms of reference
- Monitor King IV compliance
- Discussed the 2025 JSE Proactive Monitoring report.



Audit committee report (continued)

For the year ended 28 February 2026

VALUATION OF INVESTMENT PROPERTY

The major risk relating to investment property is the valuation of such. The valuation of investment property has been highlighted as an area where critical judgements and estimates, as detailed in **note 3** of the annual financial statements, are applied. The Company externally values all income-producing properties (excluding properties held-for-sale) twice a year. The fair value is determined using the discounted cash flow method of valuation.

Properties under development generally take less than 12 months to complete and all related costs incurred are at arm's length, which equates to the fair value of the development. Where fair value cannot be readily determined, properties under development are measured at cost. The fair value of vacant land is determined by comparing land costs to comparable land parcels, adjusted for infrastructure costs incurred.

Through discussion with the executive directors, the committee is comfortable with the valuation methodology followed, including related critical inputs. A few non-executive board members have extensive experience in the property industry and the board reviews and approves the valuations and thereby ensures that the overall fair value of investment property is not materially misstated. No matters of a material nature in this regard were brought to the attention of the audit committee by the external auditors.

The committee is satisfied that all income-producing properties (excluding properties held-for-sale) were externally valued as of 28 February 2026.

INTERNAL FINANCIAL CONTROLS

The committee continually monitors the efficiency of the internal financial controls. The committee is satisfied that a combined assurance model is applied to provide a co-ordinated approach to all assurance activities and that this adequately addresses all significant risks facing the Company. The committee confirms that no material breakdown of internal financial controls was identified during the current financial year.

In accordance with paragraph 5.7(h)(ii) of the JSE Listings Requirements, the committee further confirms that the Group has established appropriate financial reporting procedures and that those procedures are operating effectively.

EXTERNAL AUDITORS

The committee assessed the suitability of PwC, as external auditors, and is satisfied that PwC conducts its duties with the requisite independence and objectivity. The committee approved the auditor's terms, audit plan and proposed fee and assessed the quality of the external audit process for the year ended 28 February 2026.

The committee continuously monitors the extent of non-audit services performed by PwC and adopted a formal framework for the pre-approval of allowable non-audit services above certain pre-determined thresholds. The committee is also satisfied that none of these types of services performed by PwC in the 2026 financial year had an impact on their independence.

For the year ended 28 February 2026, PwC has completed 10 years as the external auditors and in line with best practices, the committee underwent a process to appoint a new audit firm for the year ending 28 February 2027. The committee recommends for approval to the shareholders of the appointment of Deloitte as external auditor for the 2027 financial year.

INTERNAL AUDIT

The internal audit function reports functionally to the chairperson of the committee, and administratively to the CFO. A risk-based approach has been applied to develop the annual internal audit plan.

The internal audit plan:

- is formally approved by the audit committee
- is formulated by considering key risk factors as identified through ongoing risk assessments but also incorporating any additional matters identified by management and the audit committee
- considers the evaluation of governance, risk, compliance, operational and financial processes and associated controls
- considers the contracting of outsourced specialist skills, where necessary, to ensure the plan has adequately skilled resources
- is reviewed to consider new risk areas as the business evolves

Among the various risk areas under review, the past year saw a focus on governance, risk and compliance areas, as well as business continuity and disaster recovery.

All identified control weaknesses are brought to the attention of management and the committee through a formal reporting process. The internal audit function presents progress and status reports at each committee meeting. The committee continuously assesses the capacity of the internal audit function, and where appropriate, use is made of suitably qualified external and independent specialised resources to complete the agreed workplan for the year.

PROACTIVE MONITORING

The committee confirms that it has considered the findings contained in the JSE's 2025 Proactive Monitoring report when reviewing the annual financial statements for the year ended 28 February 2026.

FINANCIAL DIRECTOR

In terms of paragraph 5.7(h)(i) of the JSE Listings Requirements, the committee has considered the expertise and experience of the CFO, Laila Razack, and is satisfied that these are appropriate for her role. The committee is further satisfied that the finance function and composition of the finance team is effective.

APPROVAL OF ANNUAL FINANCIAL STATEMENTS

The committee confirms that it formally recommended the adoption of the 2026 annual financial statements to the Board.

Fulvio Tonelli

Chairperson of the audit committee

Cape Town
13 May 2026

Signatures are not included here for security purposes.



Directors' report





Directors' report

For the year ended 28 February 2026

The Directors have pleasure in presenting the annual financial statements of Equites Property Fund Limited for the year ended 28 February 2026.

NATURE OF BUSINESS

Equites is listed on the JSE as a REIT and its main business is the investment in and development of modern logistic facilities. The Company is incorporated and domiciled in South Africa with its registered address being 14th Floor Portside Tower, 4 Bree Street, Cape Town, South Africa, 8001.

The Company carries on its business directly and through a number of subsidiaries. During the current year, the Company made the following changes to its investment property portfolio:

- acquired a land parcel for development in Gauteng;
- completed one development in Riverfields, Gauteng;
- commenced three speculative developments in Gauteng;
- acquired one logistics property in Gqeberha, Eastern Cape

Income-producing properties are currently situated in the Eastern Cape, Gauteng and the Western Cape.

FINANCIAL RESULTS

The detailed financial results are fully set out in the annual financial statements.

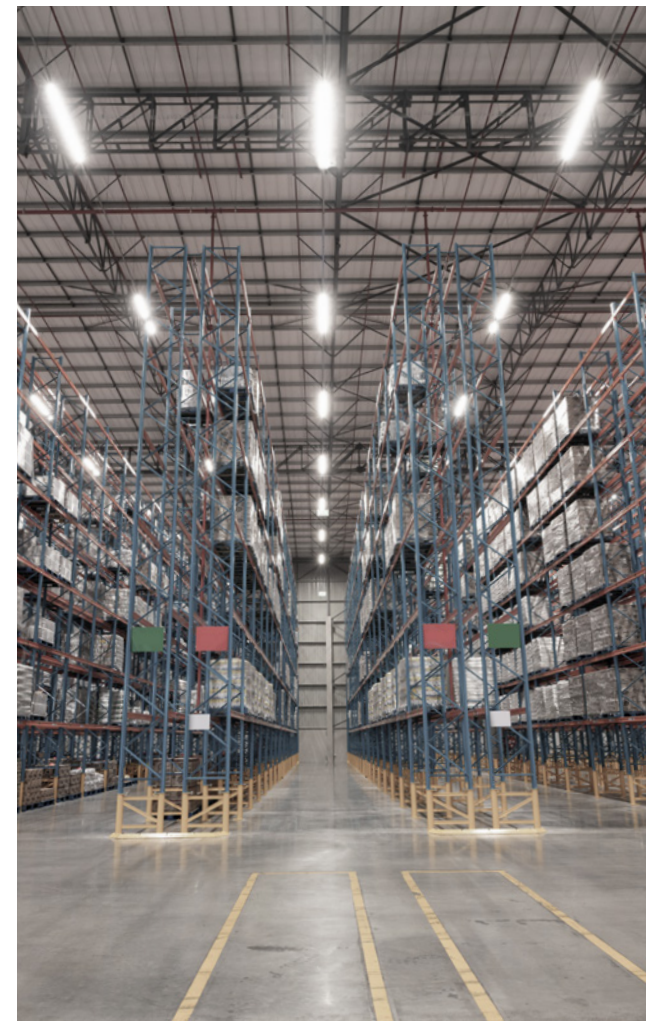
BORROWINGS

Equites has unlimited borrowing powers in terms of the Memorandum of Incorporation, but the Company has maintained its debt levels below 60% of its gross asset value due to JSE requirements for REITs. The Company's overall borrowings were R7.7 billion (2025: R6.9 billion) at the reporting date as detailed in [note 4](#) to the annual financial statements. The Company's debt officer, as contemplated in paragraphs 6.42(a) and 7.3(g) of the JSE Debt and Specialist Securities Listings Requirements, is Warren Douglas (Treasurer and Head of Risk Management).

STATED CAPITAL

The authorised share capital of the Company remained unchanged at 2 000 000 000 (two billion) ordinary shares of no par value.

The issued share capital at year end is 867 290 341 (2025: 835 179 723) ordinary shares of no par value. No (2025: 693) ordinary shares are held as treasury shares. All movements in issued shares are detailed in [note 11](#) to the annual financial statements.





Directors' report (continued)

For the year ended 28 February 2026

DISTRIBUTION TO SHAREHOLDERS

The total distribution for the year ended 28 February 2026 of 141.01 (2025: 133.92) cents per share is 5.3% higher than the comparative period and in line with distribution guidance previously provided. This is made up of the interim dividend declared on 8 October 2025 (dividend number 24) of 69.04 cents per share and the final dividend declared on 13 May 2026 (dividend number 25) of 71.97 cents per share.

DIVIDEND DECLARED

Dividend number 25 for 71.97005 cents per share was declared on 13 May 2026.

The following salient dates apply:

		2026
Last day to trade in order to receive a cash dividend		Tuesday, 2 June
Shares trade ex-dividend		Wednesday, 3 June
Record date to receive a cash dividend		Friday, 5 June
Payment of cash dividends to certificated shareholders by electronic funds transfer		Monday, 8 June
Dematerialised shareholders' CSDP or broker accounts credited with the cash dividend payment (if applicable)		Monday, 8 June

Notes:

- Shares may not be dematerialised or rematerialised between Wednesday, 3 June 2026 and Friday, 5 June 2026, both days inclusive.
- The above dates and times are subject to change. Any changes will be released on SENS.

The Board confirms the use of distribution per listed securities as the relevant measure of financial results for the purposes of trading statements.

SOLVENCY AND LIQUIDITY TEST

The Directors have performed the required solvency and liquidity tests required by the Companies Act and have reasonably concluded that the Company will satisfy the solvency and liquidity test immediately after completing the distribution.

GOING CONCERN

The annual financial statements of the Company were prepared on a going concern basis. The board is satisfied that the Company has adequate resources to continue trading for the foreseeable future based on a formal review of the results, forecasts and assessing available resources.



Directors' report (continued)

For the year ended 28 February 2026

SUBSIDIARIES

The Company has the following wholly-owned subsidiaries, unless otherwise indicated, all of which are property investment/management companies:

Group structure



PROPERTY FUND LIMITED

100% EQUITES UK PROPERTIES LTD²

50.1% RETAIL LOGISTICS FUND (RF) (PTY) LTD

51% PLUMBAGO INVESTMENT
PLATFORM (PTY) LTD

100%

PLUMBAGO
LOGISTICS
PLATFORM
(PTY) LTD

100% SWISH PROPERTY SEVEN (PTY) LTD

100% KOVACS INVESTMENTS 715 (PTY) LTD

100% GALT PROPERTY TWO (PTY) LTD

100% EQUITES INTERNATIONAL LTD¹

100% GALT PROPERTY ONE (PTY) LTD

100% EQUITES PROPERTY MANAGEMENT SERVICES
(PTY) LTD

100% EQUITES INVESTMENTS 1
(PTY) LTD

100%

CHAMBER LANE
PROPERTIES 3
(PTY) LTD

100% DORMELL PROPERTIES 711 (PTY) LTD

100% EQUITES TRIDEVCO (PTY) LTD

100% EQUITES ATLANTIC HILLS (PTY) LTD

100% EA WATERFALL LOGISTICS JV (PTY) LTD

100% EQUITES UK DEVELOPER LTD²

100% EQUITES UK SPV 1 LTD¹

100% EQUITES UK SPV 4 LTD¹

100% EQUITES UK SPV 5 LTD¹

100% EQUITES UK SPV 6 LTD¹

100% EQUITES UK SPV 9 LTD¹

100% EQUITES UK SPV 10 LTD¹

100% EQUITES UK SPV 11 LTD¹

100% EQUITES UK SPV 12 LTD¹

100% EQUITES PETERBOROUGH
GATEWAY LTD²

60% EQUITES NEWLANDS (LAND) LTD²

60% EQUITES NEWLANDS GROUP LTD²

60% EQUITES NEWLANDS
(THRAPSTON EAST) LTD²

60% EQUITES NEWLANDS
(THRAPSTON PLOT 1) LTD²

60% EQUITES NEWLANDS
(THRAPSTON PLOT 2) LTD²

60% EQUITES NEWLANDS
(THRAPSTON PLOT 3) LTD²

60% EQUITES NEWLANDS
(THRAPSTON PLOT 4) LTD²

60% EQUITES NEWLANDS
(THRAPSTON PLOT 5) LTD²

60% EQUITES NEWLANDS
(THRAPSTON PLOT 6) LTD²

100% EQUITES (BASINGSTOKE) LTD²

100% EQUITES NEWLANDS
(GOLDTHORPE) LTD²

100% EQUITES NEWLANDS
(HOYLAND) LTD²

100% EQUITES NEWLANDS
(RUGBY) LTD²

50%

GOLDTHORPE
DEVELOPMENT
PARTNERSHIP LLP²

The Group was integral in the formation of The Michel Lanfranchi Foundation NPC which houses the majority of the corporate social responsibility initiatives of the Group. In line with IFRS® 10, the following companies are consolidated as structured entities:

100% THE MICHEL
LANFRANCHI
FOUNDATION NPC

100%

ILANGA LAKUSASA
(PTY) LTD

¹ Incorporated in Isle of Man

² Incorporated in the United Kingdom



Directors' report (continued)

For the year ended 28 February 2026

DIRECTORS

The directors of the Company as at the date of this report are:

INDEPENDENT NON-EXECUTIVE DIRECTORS

- MA Brey
- PL Campher (Chairman)
- E Cross
- N Mkhize
- AD Murray
- K Ntuli
- C Robertson
- F Tonelli

NON-EXECUTIVE DIRECTORS

- AJ Gouws

EXECUTIVE DIRECTORS

- GR Gous (COO)
- L Razack (CFO)
- A Taverna-Turisan (CEO)

In terms of the Memorandum of Incorporation, a third of the non-executive directors will retire at the next annual general meeting and are eligible for re-election.

DIRECTORS' INTEREST IN ORDINARY SHARES

The directors' interest in ordinary shares is set out in [note 23](#) of the annual financial statements.

COMPANY SECRETARY

Thabo Vilakazi continued to act as Company Secretary for the year under review.

AUDITORS

PwC continued as external auditors in accordance with Section 90(1) of the Companies Act. In line with best practice, this will be PwC's last year as external auditors. A resolution to appoint Deloitte as the auditors for the year ending 28 February 2027 will be proposed at the upcoming annual general meeting.

LITIGATION

The directors are not aware of any legal or arbitration proceedings, that have commenced, are pending or have been threatened, that have or may have a material impact on the results of the Company.

SUBSEQUENT EVENTS

The directors are not aware of any other events, apart from those disclosed in [note 24](#), which have occurred since the end of the financial year, which have a material impact on the results and disclosures in these financial statements.

HOLDING COMPANY

Equites has no holding company and the main shareholders are detailed in [Appendix 1](#) to the annual financial statements.





Independent auditor's report





Independent auditor's report

To the Shareholders of Equites Property Fund Limited

REPORT ON THE AUDIT OF THE SEPARATE FINANCIAL STATEMENTS

OUR OPINION

In our opinion, the separate financial statements present fairly, in all material respects, the separate financial position of Equites Property Fund Limited (the Company) as at 28 February 2026, and its separate financial performance and its separate cash flows for the year then ended in accordance with IFRS Accounting Standards and the requirements of the Companies Act of South Africa.

WHAT WE HAVE AUDITED

Equites Property Fund Limited's separate financial statements set out on pages 18 to 62 comprise:

- the separate statement of financial position as at 28 February 2026;
- the separate statement of comprehensive income for the year then ended;
- the separate statement of changes in equity for the year then ended;
- the separate statement of cash flows for the year then ended; and
- the notes to the financial statements, including material accounting policy information.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the separate financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

INDEPENDENCE

We are independent of the Company in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* (IRBA Code), as applicable to audits of financial statements of public interest entities, and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*.

OUR AUDIT APPROACH OVERVIEW

FINAL MATERIALITY	R127 million, which represents 1% of net assets
KEY AUDIT MATTERS	Valuation of investment properties

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the separate financial statements. In particular, we considered where the Directors made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters, consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in Government Gazette Number 49309 dated 15 September 2023 (EAR Rule), we report final materiality below.

FINAL MATERIALITY

The scope of our audit was influenced by our application of materiality. An audit is designed to obtain reasonable assurance whether the separate financial statements are free from material misstatement. Misstatements may arise due to fraud or error. They are considered material if individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the separate financial statements.

Based on our professional judgement, we determined certain quantitative thresholds for materiality, including the final materiality for the separate financial statements as a whole as set out in the table below. These, together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures and to evaluate the effect of misstatements, both individually and in aggregate on the separate financial statements as a whole.

SEPARATE FINANCIAL STATEMENTS

FINAL MATERIALITY	R127 million
HOW WE DETERMINED IT	1% of net assets
RATIONALE FOR THE MATERIALITY BENCHMARK APPLIED	We chose net assets as the benchmark because, in our view, it is the key benchmark against which the performance of the Company is most commonly measured by users of the financial statements. Although the Company is profit-orientated, its strategic focus is to deliver long term shareholder returns through the acquisition and development of investment properties. As a Real Estate Investment Trust ("REIT"), the users are likely to be more concerned with the net assets underlying the Company, compared to profitability. We chose 1% based on our professional judgement and after consideration of the range of the quantitative materiality thresholds that we would typically apply when using net assets to compute materiality.



Independent auditor’s report (continued)

To the Shareholders of Equites Property Fund Limited

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the separate financial statements of the current period. These matters were addressed in the context of our audit of the separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

In terms of ISA 701 *Communicating key audit matters in the independent auditor’s report* / the EAR Rule (as applicable), we are required to report key audit matters and the outcome of audit procedures or key observations with respect to the key audit matters, and these are included below.

KEY AUDIT MATTER	HOW OUR AUDIT ADDRESSED THE KEY AUDIT MATTER
INVESTMENT PROPERTY The Company’s investment property portfolio has a total valuation, including the straight-lining lease adjustment in the separate statement of financial position of R7 billion. The overall gain from the fair value adjustment amounted to R287 million for the year. Refer to the following note to the separate financial statements for the disclosures as it relates to this key audit matter • Note 3 Investment property; and • Note 27.1 for the property analysis schedule. We considered the valuation of investment properties to be a matter of most significance to the current year audit due to the following: • The significance of the estimates and judgements involved in its determination; and • The magnitude of the balance of the investment properties recorded in the separate statement of financial position, as well as the changes in fair value relating to the investment properties recorded in the separate statement of comprehensive income. The investment properties are stated at their fair values based on directors’ valuations and external valuations as deemed appropriate. The fair values of investment properties at year end were determined using the discounted cash flow methods of valuation. The valuation of the Company’s investment property portfolio is inherently subjective due to, among other factors, the individual nature of each property, its location and the forecasted future net cash flows and residual value for that particular property.	We obtained an understanding of the approach followed by management for the valuation of the Company’s investment property portfolio through discussions with management and the external valuers. We inspected a sample of valuation reports for the properties valued externally in the current year and assessed whether the valuation approach followed for each property and the approach followed by management were in accordance with IAS 40: Investment property and suitable for use in determining the fair value for the purpose of the separate financial statements. Our work, as detailed in the procedures below, focused on the largest properties in the portfolio, as well as those properties where the assumptions used and/or year-on-year capital value movement suggested a possible outlier versus market data for the relevant sector. We evaluated the external valuers’ qualifications and expertise and evaluated whether there were any matters that might have affected their objectivity or may have imposed scope limitations upon their work through direct communication with the valuer, and inspection of their credentials. We did not note any aspects in this regard requiring further consideration. Utilised our internal valuation expertise in our assessment of the reasonableness of the valuation methodologies and assumptions applied based on their knowledge of the industry and the markets in which the Company operates. No material exceptions were noted. We evaluated comparable market evidence in assessing the fair value of the properties. No material differences were noted. We tested the accuracy, reliability and completeness of data inputs into the directors’ valuations, as well as in the valuations prepared by the external valuers by agreeing the rental income, tenancy schedules, expenditure details and square metre details to the respective underlying support. We found no material deviations. We evaluated the forecasted future net cash flows by comparing them to lease agreements and noted no material deviations. We evaluated the significant assumptions, including discount rates, exit capitalisation rates, vacancy rates, market rental growth rates and any adjustment factors by comparing it to historic and market benchmarks in order to assess whether they were in a reasonable range for the respective market, sector and asset. Our audit procedures on the above indicated that the assumptions fell within an acceptable range.



Independent auditor's report (continued)

To the Shareholders of Equites Property Fund Limited

KEY AUDIT MATTERS (CONTINUED)

KEY AUDIT MATTER	HOW OUR AUDIT ADDRESSED THE KEY AUDIT MATTER
INVESTMENT PROPERTY (CONTINUED) In determining a property's valuation, the directors and the valuers consider property-specific information such as expected market rental growth, discount rate and exit capitalisation rates. The directors and valuers apply yields, discount rates, market rentals and exit capitalisation rates which are influenced by prevailing market yields and comparable market transactions for properties with similar characteristics, to arrive at the final valuation. Investment property under development and vacant land are subsequently measured at fair value at each reporting period. If the fair value cannot be reasonably determined, this is measured at cost. The Company capitalises borrowing costs on new developments and major refurbishments that are deemed to be qualifying assets based on management's judgement in line with IAS 23: Borrowing costs requirements as reflected in note 3 to the separate financial statements.	For investment properties under development, we agreed the development costs incurred to relevant underlying documentation and assessed the eligibility of capitalising these costs against the criteria set out in IAS 40: Investment Property. No material exceptions were noted. On a sample basis, we recalculated and assessed the appropriateness of the borrowing costs capitalised and assessed management's judgement in assessing when an asset becomes a qualifying asset in accordance with IAS 23: Borrowing Costs. No material exceptions were noted. In respect of vacant land, we recalculated, on a sample basis, the value of the land based on comparable market data and comparable listed sales prices. Our audit procedures on the above did not identify any material differences. For a sample of the straight-lining lease income accrual we agreed the inputs in the calculation to the underlying lease agreements and tested the accuracy of the calculation through reperformance. We did not identify any material differences. We further evaluated the appropriateness of the disclosures in the separate financial statements concerning the key assumptions to which the valuations are most sensitive, and the inter-relationship between the assumptions and the valuation amounts. Based on the results of our work performed and considering the applicable requirements of IFRS, we noted no material differences.

OTHER INFORMATION

The Directors are responsible for the other information. The other information comprises the information included in the document(s) titled "Equites Property Fund Annual Financial statements for the year ended 28 February 2026" and the document titled "Equites Property Fund Consolidated Annual Financial Statements for the year ended 28 February 2026", which include(s) the Declaration by the company secretary, the Audit committee report and the Directors' report as required by the Companies Act of South Africa, which we obtained prior to the date of this auditor's report, and the document(s) titled "Equites Property Fund Integrated Report 2026", which is expected to be made available to us after that date. The other information does not include the consolidated or the separate financial statements and our auditor's reports thereon.

Our opinion on the separate financial statements does not cover the other information and we do not and will not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

RESPONSIBILITIES OF THE DIRECTORS FOR THE SEPARATE FINANCIAL STATEMENTS

The Directors are responsible for the preparation and fair presentation of the separate financial statements in accordance with IFRS Accounting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the Directors determine is necessary to enable the preparation of separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the separate financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.



Independent auditor's report (continued)

To the Shareholders of Equites Property Fund Limited

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE SEPARATE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the separate financial statements, including the disclosures, and whether the separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

AUDIT TENURE

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that PricewaterhouseCoopers Inc. has been the auditor of Equites Property Fund Limited for 10 year(s).

PricewaterhouseCoopers Inc.

Director: P Liedeman
Registered Auditor

Cape Town, South Africa
13 May 2026

Signatures are not included here for security purposes.



Company annual financial statements





Statement of financial position

Equites Property Fund Limited at 28 February 2026

R'000	NOTES	2026	2025
ASSETS			
NON-CURRENT ASSETS			
Investment property (excluding straight-lining)	3	6 777 676	6 282 262
Straight-lining lease income accrual	3.3	253 821	152 299
Other financial assets	5	2 953	31 388
Investment in subsidiaries	8	8 949 695	8 937 011
Loan receivables	10	216 574	228 906
Loan to subsidiary	8	26 460	—
Other receivables	9	—	2 436
Property, plant and equipment	14	21 583	29 055
		16 248 762	15 663 357
CURRENT ASSETS			
Trade and other receivables	9	120 659	76 814
Other financial assets	5	59 119	46 378
Loan receivable	10	5 392	12 875
Loans to subsidiaries	8	2 901 380	2 920 340
Cash and cash equivalents	7	1 359 893	1 239 360
		4 446 443	4 295 767
Investment property held-for-sale	3.2	341 167	—
TOTAL ASSETS		21 036 372	19 959 124
EQUITY AND LIABILITIES			
EQUITY AND RESERVES			
Stated capital	11	13 549 132	12 964 573
Accumulated loss		(895 380)	(1 009 265)
Share-based payment reserve	12	23 358	38 431
TOTAL ATTRIBUTABLE TO OWNERS		12 677 110	11 993 739
LIABILITIES			
NON-CURRENT LIABILITIES			
Loans and borrowings	4	4 970 464	5 718 756
Other financial liabilities	5	59 000	22 469
Financial guarantees	5	10 000	10 588
Other payables	13	59 757	52 211
		5 099 221	5 804 024
CURRENT LIABILITIES			
Loans and borrowings	4	2 713 400	1 199 541
Trade and other payables	13	367 883	872 588
Other financial liabilities	5	49 368	9 232
Loans from subsidiaries	8	129 390	80 000
		3 260 041	2 161 361
TOTAL LIABILITIES		8 359 262	7 965 385
TOTAL EQUITY AND LIABILITIES		21 036 372	19 959 124

Statement of comprehensive income

Equites Property Fund Limited for the year ended 28 February 2026

R'000	NOTES	2026	2025
Property revenue and tenant recoveries		611 456	561 255
Straight-lining of leases adjustment		101 522	37 265
Other revenue		67 087	56 708
Dividends received from subsidiaries		956 758	1 146 792
GROSS PROPERTY REVENUE	15	1 736 823	1 802 020
Cost of sales		(1 336)	(933)
Property operating and management expenses	17	(142 864)	(138 848)
Other net (losses)/gains	16	(136 376)	33 913
Administrative expenses	17	(129 684)	(152 435)
Fair value adjustments – investment property	3	287 224	119 690
OPERATING PROFIT BEFORE FINANCING ACTIVITIES		1 613 787	1 663 407
Finance cost	18	(693 366)	(712 428)
Finance income	19	320 334	207 999
NET PROFIT BEFORE TAX		1 240 755	1 158 978
Tax expense	20	—	(849)
PROFIT FOR THE YEAR		1 240 755	1 158 129
Basic earnings per share (cents)	2	148.0	143.2
Diluted earnings per share (cents)	2	146.8	141.4



Statement of cash flows

Equites Property Fund Limited for the year ended 28 February 2026

R'000	NOTES	2026	2025
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	21.1	(266 550)	754 333
Finance costs paid	18	(586 751)	(633 418)
Finance income received	19	327 506	210 850
Tax paid	21.6	—	(11 925)
Dividends received	23.2.1	956 758	1 146 792
Dividends paid	21.4	(1 126 870)	(1 051 694)
NET CASH FLOWS (UTILISED)/GENERATED FROM OPERATING ACTIVITIES		(695 907)	414 938
CASH FLOWS FROM INVESTING ACTIVITIES			
Development of investment properties	21.2	(346 474)	(373 753)
Finance costs capitalised to investment properties	18	(88 034)	(101 453)
(Costs paid)/proceeds from disposal of investment property (net of costs)	21.5	(5 607)	966 020
Acquisition of investment property	3.1	(129 817)	(142 289)
Loans advanced to group companies	8.2	(870 412)	(1 151 132)
Loans repaid by group companies	8.2	863 172	1 173 604
Purchases of current financial assets ¹	21.3	8 268 338	2 873 000
Proceeds on divestment of current financial assets ¹	21.3	(8 268 338)	(2 873 000)
Loans advanced	10.1	(549)	(3 150)
Proceeds from loan receivable	10.1	13 000	—
Proceeds from disposal of property, plant and equipment		10	926
Purchase of property, plant and equipment		(262)	(6 768)
NET CASH FLOWS (UTILISED)/GENERATED BY INVESTING ACTIVITIES		(564 973)	632 005
CASH FLOWS FROM FINANCING ACTIVITIES			
Share issue costs (paid)/refunded	11.3	(961)	318
Proceeds from share issue relating to dividend reinvestment programme	11.3	—	696 129
Proceeds from share issue	11.3	712 417	—
Repurchase of shares	11.3	(126 906)	—
Repayment of lease liability		(5 368)	(6 475)
Proceeds from borrowings	4.1	4 183 241	6 952 764
Repayment of borrowings	4.1	(3 430 400)	(7 217 819)
Proceeds from loans from group companies	8.2	88 403	13 100
Repayment of loans from group companies	8.2	(39 013)	(14 271)
NET CASH FLOWS GENERATED FROM FINANCING ACTIVITIES		1 381 413	423 745
Net increase in cash and cash equivalents		120 533	1 200 688
Cash and cash equivalents at the beginning of the year		1 239 360	38 672
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	7	1 359 893	1 239 360

¹ This primarily consists of investments in and divestments of surplus cash held in money market funds.

Statement of changes in equity

Equites Property Fund Limited for the year ended 28 February 2026

R'000	NOTES	STATED CAPITAL	ACCUMULATED LOSS	SHARE-BASED PAYMENT RESERVE	TOTAL
Balance at 1 March 2024		12 257 529	(1 115 700)	30 570	11 172 399
Profit for the year		—	1 158 129	—	1 158 129
Other comprehensive income		—	—	—	—
Share issue in terms of share based payment transaction	11	696 129	—	—	696 129
Shares issued in terms of conditional share plan	11	10 551	—	(10 551)	—
Treasury shares issued in terms of conditional share plan	11	309	—	(309)	—
Shares forfeited in terms of conditional share plan	11	(263)	—	263	—
Equity-settled share-based payment charge	12	—	—	18 458	18 458
Dividends distributed to shareholders		—	(1 051 694)	—	(1 051 694)
Share issue costs	11	318	—	—	318
BALANCE AT 28 FEBRUARY 2025		12 964 573	(1 009 265)	38 431	11 993 739
Balance at 1 March 2025		12 964 573	(1 009 265)	38 431	11 993 739
Profit for the year		—	1 240 755	—	1 240 755
Other comprehensive income		—	—	—	—
Shares issued for cash	11	712 417	—	—	712 417
Shares repurchased and cancelled	11	(126 906)	—	—	(126 906)
Shares repurchased and issued in terms of conditional share plan	11	—	—	(6 026)	(6 026)
Treasury shares issued in terms of conditional share plan	11	9	—	(9)	—
Equity-settled share-based payment charge	12	—	—	(9 038)	(9 038)
Dividends distributed to shareholders		—	(1 126 870)	—	(1 126 870)
Share issue costs	11	(961)	—	—	(961)
BALANCE AT 28 FEBRUARY 2026		13 549 132	(895 380)	23 358	12 677 110



Notes to the annual financial statements

Equites Property Fund Limited for the year ended 28 February 2026

1. PREPARATION OF FINANCIAL STATEMENTS

The principal accounting policies applied in the preparation of the annual financial statements are set out in the notes to the annual financial statements and are consistent with those applied in the previous year, unless otherwise stated. The annual financial statements were authorised for issue by the board of directors on 13 May 2026.

1.1 BASIS OF PREPARATION

The annual financial statements have been prepared in accordance with IFRS® Accounting Standards, the IFRS Interpretations Committee interpretations, the South African Institute of Chartered Accountants ("SAICA") Financial Reporting Guides as issued by the Accounting Practices Committee, Financial Pronouncements as issued by the Financial Reporting Standards Council ("FRSC"), the requirements of the Companies Act of South Africa No. 71 of 2008, as amended and the Listings Requirements of the exchange operated by JSE Ltd ("JSE").

1.2 BASIS OF MEASUREMENT

The annual financial statements are prepared on the historical cost basis, except for investment property, derivative financial instruments and financial instruments at fair value through profit or loss, which are measured at fair value.

1.3 FUNCTIONAL CURRENCY

All items in the annual financial statements of the Company are measured using the currency of the primary economic environment in which it operates (the functional currency). The presentation currency of the annual financial statements is the South African Rand.

Foreign currency transactions are translated into the functional currency using the spot rate. Gains and losses resulting from the settlement of such transactions, and from the translation of monetary assets and liabilities denominated in foreign currencies at closing rates, are recognised in net other gains/(losses) in the statement of comprehensive income.

1.4 STANDARDS, AMENDMENTS AND INTERPRETATIONS EFFECTIVE FOR THE FIRST TIME AT 28 FEBRUARY 2026

The standards, amendments and interpretations effective for the first time in the current financial year have been summarised below. The impact of the adoption of these standards and amendments has been considered and is deemed immaterial.

EFFECTIVE DATE
(PERIODS BEGINNING
ON OR AFTER)

Amendments to IAS 21 "The Effects of Changes in Foreign Exchange Rates" – Lack of Exchangeability

1 January 2025

1.5 STANDARDS, AMENDMENTS AND INTERPRETATIONS ISSUED BUT NOT YET EFFECTIVE AT 28 FEBRUARY 2026

The table below summarises the standards, amendments and interpretations that have been published, but that are not yet effective in the current financial year and are relevant to the Company. None of these standards, amendments and interpretations are expected to have a material impact on the results of the Company.

EFFECTIVE DATE
(PERIODS BEGINNING
ON OR AFTER)

ANNUAL IMPROVEMENTS TO IFRS ACCOUNTING STANDARDS – VOLUME 11:

Includes minor amendments to accounting standards to clarify wording and improve guidance in the relevant standards.

1 January 2026

AMENDMENTS TO IFRS 9 & IFRS 7 – CLASSIFICATION AND MEASUREMENT OF FINANCIAL INSTRUMENTS:

The amendments clarify requirements relating to the recognition and derecognition of financial assets and financial liabilities, provide additional guidance on assessing contractual cash flow characteristics for classification purposes, and introduce additional disclosures for certain instruments, including instruments with contractual terms that can change cash flows and equity instruments designated at fair value through other comprehensive income.

1 January 2027

IFRS 18 – PRESENTATION AND DISCLOSURE IN FINANCIAL STATEMENTS:

IFRS 18 replaces IAS 1 and introduces new requirements for the presentation and disclosure of information in general purpose financial statements, including a revised structure for the statement of profit or loss, disclosure requirements for specified management-defined performance measures, and enhanced principles on aggregation and disaggregation in the primary financial statements and notes.

1 January 2027

Management is currently assessing the impact of IFRS 18. The standard is expected to affect primarily presentation and disclosure, including the structure of the statement of profit or loss, aggregation and disaggregation in the financial statements, and disclosures relating to management-defined performance measures, where applicable. No material impact on recognition or measurement is currently expected.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

2. EARNINGS PER SHARE

This note provides the obligatory information in terms of IAS 33 Earnings per share and SAICA Circular 1/2023 for the Company.

Earnings per share is calculated by dividing the net profit attributable to owners of the parent by the weighted average number of ordinary shares in issue during the year.

Diluted earnings and diluted headline earnings per share are determined by adjusting for the impact on earnings and the weighted average number of ordinary shares of all known dilutive potential ordinary shares.

2.1 BASIC EARNINGS PER SHARE

R'000	2026	2025
BASIC EARNINGS		
Profit for the year	1 240 755	1 158 129
NUMBER OF SHARES		
Shares in issue	867 290 341	835 179 723
Weighted average number of shares in issue	838 552 157	808 977 238
Add: weighted potential dilutive impact of conditional shares	6 600 436	10 259 895
Diluted weighted average number of shares in issues	845 152 593	819 237 134
CENTS		
EARNINGS PER SHARE		
Basic earnings per share	148.0	143.2
Diluted earnings per share	146.8	141.4

3. INVESTMENT PROPERTY

R'000	NOTE	2026	2025
Income-producing investment property		6 108 991	5 446 331
Investment property under development		491 115	135 507
Freehold land		177 479	699 539
Right-of-use asset		91	885
INVESTMENT PROPERTY (EXCLUDING STRAIGHT-LINING)	3.1	6 777 676	6 282 262
Investment property held-for-sale	3.2	341 167	—
Straight-lining lease income accrual	3.3	253 821	152 299
TOTAL		7 372 664	6 434 561

ACCOUNTING POLICY

Investment property is held to earn rental income and/or for capital appreciation, and is made up of the following:

- income-producing investment property comprising land and buildings, leased to tenants under an operating lease;
- investment property under development and vacant and available for development; and
- property held-for-sale where the carrying amount will be recovered through sale rather than continuing use.

Investment property is initially measured at cost, including transaction cost. Subsequently, investment property is measured at fair value at each reporting date. Changes in fair value are recognised in profit or loss in the period in which they arise, and is excluded from the calculation of distributable earnings. Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Company and the cost of the item can be measured reliably. All other costs, including repairs and maintenance, are expensed as incurred. Future costs or capital commitments are not included in the fair value of investment property.

All income-producing properties are valued externally by a registered valuer at each reporting date. Properties were valued using the discounted cash flow ("DCF") technique. Adjustments to the fair value of investment properties are computed net of the impact of accounting for lease income on a straight-line basis over the term of lease.

Lease commission expenditure is capitalised to the cost of the investment property and amortised over a straight-line basis over the term of the lease.

A gain or loss arising on disposal of investment property is recognised in profit or loss, measured as the difference between the net disposal proceeds and the carrying amount.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

3. INVESTMENT PROPERTY (CONTINUED)

ACCOUNTING POLICY (CONTINUED)

INVESTMENT PROPERTY UNDER DEVELOPMENT AND FREEHOLD LAND

Investment property under development comprises the cost of the land and development and is measured at fair value at each reporting period. If the fair value cannot be reasonably determined, this is measured at cost. Upon completion of the development, these properties become part of income-producing investment property.

PROPERTIES HELD-FOR-SALE

Investment property is classified as held-for-sale if it is expected that its carrying amount will be recovered principally through sale rather than continuing use. The following conditions are required to be met to be classified as held-for-sale:

- management is committed to a plan to sell,
- an active programme to locate a buyer is initiated,
- the asset is available for immediate sale in its present condition,
- the asset is being actively marketed for sale at a price reasonable in relation to its fair value,
- the sale is highly probable, within 12 months of classification as held for sale, and subject only to terms that are usual and customary for sale of such assets, and
- actions required to complete the plan indicate that it is unlikely that the plan will be significantly changed or withdrawn.

Investment properties held-for-sale are excluded from the measurement scope of IFRS 5 Non-current Assets Held-for-sale and Discontinued Operations and is measured at fair value less costs to sell with gains/losses recognised in the statement of comprehensive income.

BORROWING COSTS

Borrowing costs that are directly attributable to the acquisition and construction of a qualifying asset are capitalised to the cost of that asset until such time as the asset is ready for the intended use.

Borrowing costs comprise interest on borrowings and amortisation of capitalised loan arrangement fees. The amount of borrowing costs eligible for capitalisation is determined as follows:

- **Specific borrowings:** actual borrowing costs on funds specifically borrowed for the purpose of obtaining a qualifying asset less any temporary investment income from surplus funds derived from those borrowings; and
- **General borrowings:** weighted average of the borrowing costs applicable to the entity on funds generally borrowed for the purpose of obtaining a qualifying asset(s).

All other borrowing costs are recognised in profit or loss in the period in which they are incurred. Borrowing costs capitalised cannot exceed actual borrowing costs incurred. A qualifying asset is defined as an asset that necessarily takes a substantial period of time to get ready for its intended use or sale. An asset that normally takes more than a year to be ready for use will usually be a qualifying asset. The Company classifies the following as qualifying assets:

- investment property under development,
- land held for the purpose of development, and
- income-producing investment property under major refurbishment.

Capitalisation commences when expenditures are incurred for the asset, borrowing costs are incurred, and the group undertakes activities that are necessary to prepare the asset for its intended use. This occurs as follows:

- **Properties under development and refurbishments:** once expenditures are incurred; and
- **Land:** once land or land option is acquired and in the process of being developed, i.e. when town planning, zoning, earthworks, etc commences with a view to utilising this in development.

The Company ceases capitalising borrowing costs on each qualifying asset on the date on which practical completion is issued. On this date, substantially all the activities necessary to prepare the qualifying asset for its intended use are considered to be complete.

LEASESHOLD LAND

The Company is a party to leasehold land in respect of certain investment properties, giving rise to a right-of-use asset recognised as investment property at lease commencement date. The right-of-use asset is measured at the initial amount of the lease liability adjusted for any lease payments made in advance, plus any initial direct costs incurred less any lease incentives received. The lease liability is initially measured at the present value of the future lease payments discounted using the Company's incremental borrowing rate. The lease payments consist of a fixed percentage of the income generated from the investment property.

The right-of-use asset recognised as investment property is subsequently measured at fair value. A remeasurement occurs when there is a change in the future lease cash flows arising from a change in the underlying tenant lease. Where the lease liability is remeasured, a corresponding adjustment is made to the carrying amount of the underlying right-of-use asset.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

3. INVESTMENT PROPERTY (CONTINUED)

CRITICAL ESTIMATES AND JUDGEMENTS

VALUATION OF INVESTMENT PROPERTY

The Company has appointed a panel of external valuers to conduct the valuation for each income-producing property. The independent valuers applied, among other inputs, current market prices for properties with similar characteristics, leases and cash flow projections. All SA valuations are performed using a discounted cash flow method.

DISCOUNTED CASH FLOW METHOD

The fair value of each income-producing SA property is determined by calculating its net present value by discounting forecasted future net cash flows and a residual value at the end of the cash flow projection period by the discount rate of each property. The residual value is calculated using an appropriate exit capitalisation rate. The discount rate used to determine the fair value of each property is a function of the exit capitalisation rate and the long-term market rental growth rate. The exit capitalisation rate is dependent on a number of factors, including location, asset class, market conditions, lease covenants and the risks inherent in the property.

SIGNIFICANT UNOBSERVABLE INPUTS

- Expected market rentals
- Exit capitalisation rates varied between 7.8% and 9.0% (2025: 7.8% and 9.0%)
- Discount rates varied between 12.0% and 13.5% (2025: 12.0% and 13.5%)

INTER-RELATIONSHIP BETWEEN UNOBSERVABLE INPUTS AND FAIR VALUE MEASUREMENT

The overall valuations are sensitive to all three assumptions listed above. The impact of vacancy is deemed to be immaterial on the valuations as the majority of the Company's leases are long dated, with no view of material vacancies in the portfolio in the near future. Management deems that the range of possible alternative assumptions is greatest for the exit capitalisation rates. The impact of changing the significant unobservable inputs on the fair value of investment property is detailed in [note 6](#).

LEASE TERM

Where the Company recognises a lease liability and corresponding right-of-use asset, consideration is given around the extension options of the lease, in terms of IFRS 16 Leases. An evaluation of the facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option on the remaining lease term, is performed. These include an assessment of the likelihood of renewal by the tenant situated on the leasehold land, the potential business disruption by not extending and the unrecoverable costs or penalties incurred to extend or terminate the contract. The Company concluded that all lease liabilities and right-of-use assets are appropriately accounted for based on the lease term and that any significant changes or circumstances in the current year to this assessment have been accounted for.





Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

3. INVESTMENT PROPERTY (CONTINUED)

3.1 RECONCILIATION OF INVESTMENT PROPERTY

R'000	LOGISTICS	INDUSTRIAL	PROPERTIES UNDER DEVELOPMENT	ZONED INDUSTRIAL LAND	RIGHT-OF-USE ASSET	TOTAL
BALANCE AS AT 1 MARCH 2024	4 013 942	147 984	1 332 602	658 524	18 924	6 165 279
Acquisitions	—	—	—	142 289	—	142 289
Improvements and extensions	24 350	9 240	—	—	—	33 590
Construction and development costs ²	—	51	371 599	75 740	—	447 390
Transfers ¹	1 026 003	—	(1 567 126)	(76 437)	(10 209)	(627 769)
Letting commission capitalised	2 853	—	—	—	—	2 853
Letting commission amortised	(2 068)	—	—	—	—	(2 068)
Remeasurements	—	—	—	—	614	614
Fair value adjustment	221 575	2 401	(1 568)	(100 577)	(1 747)	120 084
BALANCE AS AT 28 FEBRUARY 2025	5 286 655	159 676	135 507	699 539	885	6 282 262
Acquisitions	86 660	—	—	43 157	—	129 817
Improvements and extensions	70 658	—	—	—	—	70 658
Construction and development costs ²	—	8 143	298 590	32 961	—	339 692
Transfers ¹	184 518	—	50 697	(576 381)	—	(341 167)
Letting commission capitalised	7 272	—	—	—	—	7 272
Letting commission amortised	(2 968)	—	—	—	—	(2 968)
Lease incentives granted	5 466	—	—	—	—	5 466
Lease incentivised amortised	(581)	—	—	—	—	(581)
Fair value adjustment	364 289	(60 797)	6 321	(21 795)	(794)	287 224
BALANCE AS AT 28 FEBRUARY 2026	6 001 970	107 022	491 115	177 479	91	6 777 676

¹ Transfers relates to the following:

- i) Land where a development has commenced;
- ii) Investment properties under development which have been completed; and
- iii) Properties that have been recognised as held-for-sale (note 3.2).

² Includes borrowing costs capitalised of R88 million (2025: R121 million).

External valuations of the South African investment property portfolio (excluding the property held-for-sale) were performed by Knight Frank Proprietary Limited, Mills Fitchet Magnus Penny, CBRE Excellerate and Heroic Consulting Proprietary Limited.

The valuers are independent of the Company as contemplated in paragraph 13.14 of the JSE Listings Requirements and have no material relationship with the Company. The valuers are appropriately qualified, holding professional designations including MRICS, FRICS and/or registration as Professional Valuers with the South African Council for the Property Valuers Profession.

The valuations were performed using discounted cash flow methodologies in accordance with IFRS 13 Fair Value Measurement and International Valuation Standards.

Further details on the valuation techniques, key inputs and fair value hierarchy are included in note 6.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

3. INVESTMENT PROPERTY (CONTINUED)

R'000	2026	2025
3.1 RECONCILIATION OF INVESTMENT PROPERTY (CONTINUED)		
Portfolio externally valued	6 362 813	5 598 630
Investment properties encumbered as security against the Company's loan facilities	3 015 888	4 071 967
The majority of the Company's leases are fully repairing and insuring with the average lease expiring after 13.2 years (2025: 14.3 years).		
3.2 INVESTMENT PROPERTY HELD-FOR-SALE		
Opening balance	—	340 093
Improvements	—	(46)
Transfers	341 167	670 269
Letting commission amortised	—	(1 171)
Lease incentive amortised	—	(479)
Straight-lining of leases adjustment	—	(12 104)
Fair value adjustment	—	(394)
Disposals	—	(996 168)
INVESTMENT PROPERTIES HELD-FOR-SALE	341 167	—

One logistics facility located and two land parcels located in Gauteng are held-for-sale at year end. Sale agreements have been concluded and the logistics facility transferred in April 2026 ([note 24](#)) and the land parcels are expected to transfer in the first half of FY28.

3.3 STRAIGHT-LINING LEASE INCOME ACCRUAL

Contractual lease receivables are as follows:

R'000	2026	2025
Within one year	466 653	434 109
Within two years	464 329	415 849
Within three years	441 339	410 311
Within four years	451 576	384 366
Within five years	452 854	390 058
Beyond five years	3 098 884	3 308 655
	5 375 635	5 343 348
Less: lease revenue on a straight-line basis	(5 121 814)	(5 191 049)
STRAIGHT-LINING LEASE INCOME ACCRUAL	253 821	152 299

The Company has assessed the impact of ECL on the straight-lining lease income accrual. The Company deems the impact to be immaterial and any negative impacts would be reflected in the fair value of investment property.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

4. LOANS AND BORROWINGS

ACCOUNTING POLICY

Borrowings are initially recognised at fair value (net of any transaction costs) and subsequently at amortised cost. Borrowings are generally long-term in nature and are classified as non-current liabilities, except to the extent that amounts are contractually repayable in the 12 months from the reporting date.

Borrowings are classified as financial liabilities and are measured at amortised cost using the effective interest rate method.

The Company derecognises a financial liability when its contractual obligations are discharged, cancelled or expire.

R'000	2026	2025
NON-CURRENT LIABILITIES		
Secured bank loans	400 000	1 150 000
Unsecured bank loans	1 000 000	700 000
Unsecured bonds	3 576 000	3 876 000
Loan fees	(5 536)	(7 244)
	4 970 464	5 718 756
CURRENT LIABILITIES		
Secured bank loans	350 000	300 000
Unsecured bonds and commercial paper	2 300 000	847 000
Accrued interest	63 400	52 541
	2 713 400	1 199 541
LOANS AND BORROWINGS	7 683 864	6 918 297

The fair values of loans and borrowings are not materially different from their carrying amounts, since the interest payable on those borrowings is either close to current market rates or the borrowings are of a short-term nature. Fair value is determined in accordance with Level 3 fair value methodology.

Information about the Company's exposure to interest rate, foreign currency and liquidity risks is included in [note 5](#).

4.1 RECONCILIATION OF LOANS AND BORROWINGS

R'000	2026	2025
OPENING BALANCE		
Debt balance	6 873 000	7 155 739
Loan fees	(7 244)	(5 594)
Accrued interest	52 541	61 279
OPENING LOANS AND BORROWINGS	6 918 297	7 211 424
Opening balance	6 918 297	7 211 424
Proceeds from borrowings	4 183 241	6 952 764
Repayment of borrowings	(3 430 400)	(7 217 819)
Foreign exchange loss/(gain)	159	(17 684)
Loan fees paid and amortised	1 708	(1 650)
Movement in accrued interest	10 859	(8 738)
LOANS AND BORROWINGS	7 683 864	6 918 297
CLOSING BALANCE		
Debt balance	7 626 000	6 873 000
Loan fees	(5 536)	(7 244)
Accrued interest	63 400	52 541
LOANS AND BORROWINGS	7 683 864	6 918 297



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

4. LOANS AND BORROWINGS (CONTINUED)

R'000	2026	2025
4.2 SOURCES OF DEBT FUNDING		
JSE-listed DMTN Programme	5 276 000	4 223 000
Absa	200 000	200 000
Investec	—	200 000
Nedbank	2 100 000	2 100 000
RMB	500 000	700 000
Standard Bank of South Africa	400 000	700 000
TOTAL	8 476 000	8 123 000

4.3 TERMS AND REPAYMENT SCHEDULE

The terms and conditions of outstanding loans are as follows:

AT 28 FEBRUARY 2026	CURRENCY	NOMINAL INTEREST RATE ¹	MATURITY	BALANCE R'000
Secured bank loans	ZAR	3mj + 1.36	2026-2029	750 000
Unsecured bonds and commercial paper	ZAR	3mj + 1.2	2026-2031	5 276 000
Unsecured bank loans	ZAR	3mj + 1.3	2026-2029	1 600 000
DEBT BALANCE				7 626 000

AT 28 FEBRUARY 2025	CURRENCY	NOMINAL INTEREST RATE ¹	MATURITY	BALANCE R'000
Secured bank loans	ZAR	3mj + 1.35	2025-2027	1 450 000
Unsecured bonds	ZAR	3mj + 1.39	2025-2031	4 523 000
Unsecured bank loans	ZAR	3mj + 1.33	2026-2029	700 000
Unsecured commercial paper	ZAR	3mj + 0.92	2025	200 000
DEBT BALANCE				6 873 000

¹ Nominal interest rate: weighted average rate
3mj: 3 month JIBAR
S: SONIA

4.4 MATURITY PROFILE

The earliest contractual maturity date of outstanding loans is profiled as follows:

Within one year	2 650 000	1 147 000
Within two years	1 006 000	1 250 000
Within three years	1 450 000	1 006 000
Within four years	1 370 000	1 450 000
Within five years	1 150 000	1 370 000
Beyond five years	—	650 000
DEBT BALANCE	7 626 000	6 873 000

4.5 FINANCIAL COVENANTS

The Company has a number of debt facility agreements which contain various financial covenants measured with reference to the Group. There are no covenants specific to the Company.





Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

5. FINANCIAL RISK MANAGEMENT

ACCOUNTING POLICY

FINANCIAL ASSETS

Financial assets at fair value through profit or loss are investments which were acquired principally for the purpose of selling in the short-term. These financial assets therefore are not classified either at amortised cost or fair value through other comprehensive income. Such assets are classified as current or non-current based on their expected maturity.

Financial assets at fair value through profit or loss are carried at fair value, with any gains or losses arising on remeasurement recognised in profit or loss.

The Company derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

DERIVATIVE FINANCIAL INSTRUMENTS

The Company's derivative financial instruments comprise of interest rate and foreign exchange rate instruments and are either assets or liabilities and are classified as current or non-current based on the termination date of the instrument. Purchases and settlements of derivative financial instruments are initially recognised on the trade date at fair value and are subsequently carried at fair value. Unrealised gains and losses arising from changes in the fair value of derivative financial instruments are included as fair value adjustments in profit and loss together with the related interest and/or other income. Realised gains and losses in respect of interest rate derivatives are presented in finance costs. Income accrued on currency derivative instruments are presented within other net gains or losses.

In accordance with the Company's risk management policy, the Company does not apply hedge accounting and does not enter into derivative contracts for trading or speculative purposes. Any references to hedging refers to economic hedges.

FINANCIAL GUARANTEES

Financial guarantees issued are initially recognised at fair value and are subsequently measured at the higher of:

- The loss allowance determined as expected credit loss under IFRS 9 and
- The amount initially recognised (fair value) less any cumulative amount of amortisation on a straight-line basis over the term of the guarantee.

The Company has exposure to the following risks arising from financial instruments:

- credit risk ([note 5.2](#));
- liquidity risk ([note 5.3](#)); and
- market risk, including interest rate and foreign exchange risk ([note 5.4](#)).

5.1 RISK MANAGEMENT FRAMEWORK

The Company's board of directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Risk and Capital Committee is responsible for developing the Company's risk management policies, and evaluating and improving the effectiveness of risk management, control and governance processes within the Company. The Company's risk management policies are established to identify and analyse the risks faced by the Company, to set appropriate risk limits and controls and to monitor risks, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. In respect of financial reporting risks, the Audit Committee oversees how management monitors compliance with the Company's risk management policies and procedures, and the Risk and Capital Committee reviews the adequacy of the risk management framework in relation to the risks faced by the Company. Both committees report regularly to the board of directors on activities.

CAPITAL MANAGEMENT

The Company has continued to pursue the strategic objective of maintaining a robust capital base while providing consistent returns to shareholders. This goal is achieved through a careful balance of equity and debt management, which allows the Company to sustainably grow the business while reducing the cost of capital. The Company remains committed to maintaining an optimal capital structure that aligns with the best practices in the industry, utilising various mechanisms such as issuing new shares, raising new debt, or selling assets to reduce debt. The Company employs various measures to monitor capital, including the calculation of a LTV ratio – the ratio of net debt to the fair value of property assets – consistent with others in the industry. The Company aims for an LTV ratio that aligns with the capital structure, with a focus on ensuring that the business is appropriately structured to reduce risk and maximise the ability to take advantage of potential future opportunities.

5.2 CREDIT RISK

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivables from customers. Credit risk also arises from the Company's cash balances and derivative financial instruments (where these are in an asset position) held with financial institutions, and from loan to subsidiaries and loan receivable. The carrying amounts of financial assets represent the maximum credit exposure. Impairment losses on financial assets recognised in profit or loss relate to trade and other receivables.

The Company deposits funds and trades derivative instruments with various financial institutions in SA. From a credit risk perspective, the Company places reliance on the published credit ratings of the major rating agencies together with the Company's own analysis and research.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

5. FINANCIAL RISK MANAGEMENT (CONTINUED)

5.2 CREDIT RISK (CONTINUED)

R'000	NOTE	2026	2025
5.2.1 FINANCIAL ASSETS			
FINANCIAL ASSETS HELD AT FAIR VALUE			
Derivatives not specifically designated as hedging instruments	5.2.2	62 072	77 766
FINANCIAL ASSETS AT AMORTISED COST			
Cash and cash equivalents	7	1 359 893	1 239 360
Trade and other receivables	9	105 418	73 037
Loans to subsidiaries	8.2	2 927 840	2 920 340
Loans receivable	10	221 966	241 781
FINANCIAL ASSETS		4 677 189	4 552 284
Current		4 457 662	4 289 554
Non-current		219 527	262 730
5.2.2 DERIVATIVE FINANCIAL ASSETS			
The Company is exposed to credit risk in relation to derivative financial instruments which have a mark-to-market value in favour of the Company. The breakdown of this exposure both by derivative instrument type and by counterparty is as follows.			
FOREIGN CURRENCY LONG TERM DEPOSIT RATINGS	MOODY'S	S&P	
Nedbank	Baa3	BB	10 331
Rand Merchant Bank	Baa3	BB	2 825
Investec Bank	Baa3	BB	45 168
Standard Bank of South Africa	Baa3	Not rated	3 748
DERIVATIVES WITH A POSITIVE MARK-TO-MARKET VALUATION BY COUNTERPARTY			62 072
Interest rate swaps		56 160	69 563
Interest rate derivatives		544	4 581
FX zero-cost collars		5 368	3 622
DERIVATIVES WITH A POSITIVE MARK-TO-MARKET VALUATION BY INSTRUMENT		62 072	77 766

5.3 LIQUIDITY RISK

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities as they become due. The Company's objective when managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation. The Company monitors its net liquidity position on a continuous basis by means of expected cash flows. The Company seeks to reduce liquidity risk through the regular review of the maturity profile of financial liabilities to reduce refinancing risk, utilising facilities with differing maturities to reduce maturity concentration and by employing revolving credit and other similar facilities.

5.3.1 FINANCING ARRANGEMENTS

The Company had R1.1 billion (2025: R1.2 billion) of revolving credit facilities as at 28 February 2026, of which R0.9 billion were undrawn at year end (2025: R1.2 billion).

MATURITY (R'000)	2026		2025	
	DEBT BALANCE	UNDRAWN FACILITIES	DEBT BALANCE	UNDRAWN FACILITIES
Within one year	2 650 000	100 000	1 147 000	1 250 000
Within two years	1 006 000	—	1 250 000	—
Within three years	1 450 000	—	1 006 000	—
Within four years	1 370 000	750 000	1 450 000	—
Within five years	1 150 000	—	1 370 000	—
Beyond five years	—	—	650 000	—
DEBT AND BANKING FACILITIES	7 626 000	850 000	6 873 000	1 250 000



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

5. FINANCIAL RISK MANAGEMENT (CONTINUED)

5.3 LIQUIDITY RISK (CONTINUED)

R'000	NOTE	2026	2025
5.3.2 FINANCIAL LIABILITIES			
FINANCIAL LIABILITIES AT FAIR VALUE			
Derivatives not specifically designated as hedging instruments		108 368	31 701
FINANCIAL LIABILITIES AT AMORTISED COST			
Trade and other payables	13	367 422	862 433
Financial guarantee	5.3.4	10 000	10 588
Loans from subsidiaries	8.2	129 390	80 000
Loans and borrowings	4	7 683 864	6 918 297
FINANCIAL LIABILITIES		8 299 044	7 903 019
Current		3 199 823	2 098 995
Non-current		5 099 221	5 804 024

5.3.3 MATURITIES OF FINANCIAL LIABILITIES

The tables below analyse the Company's financial liabilities into relevant maturity groupings based on their contractual maturities for all non- derivative and derivative financial liabilities. The amounts disclosed in the tables for non-derivative financial liabilities are the contractual undiscounted cash flows, and the amounts for derivatives are the current mark-to-market valuations. Balances due within 12 months equal their carrying balances as the impact of discounting is not significant. For interest rate swaps, the cash flows have been estimated using forward interest rates applicable at the end of the reporting period.

	REPAYABLE WITHIN ONE YEAR	REPAYABLE WITHIN TWO YEARS	REPAYABLE WITHIN THREE YEARS	REPAYABLE WITHIN FOUR YEARS	REPAYABLE WITHIN FIVE YEARS	REPAYABLE BEYOND FIVE YEARS	TOTAL
2026							
Borrowings	2 650 000	1 006 000	1 450 000	1 370 000	1 150 000	—	7 626 000
Loans from subsidiaries	129 390	—	—	—	—	—	129 390
Interest repayments	634 408	413 955	550 719	513 782	520 437	538 738	3 172 039
Financial guarantees	10 000	—	—	—	—	—	10 000
Trade and other payables	349 138	4 823	4 613	4 681	4 167	—	367 422
Derivatives	13 119	33 376	61 873	—	—	—	108 368
TOTAL	3 786 055	1 458 154	2 067 205	1 888 463	1 674 604	538 738	11 413 219
2025							
Borrowings	1 147 000	1 250 000	1 006 000	1 450 000	1 370 000	650 000	6 873 000
Loans from subsidiaries	80 000	—	—	—	—	—	80 000
Interest repayments	585 042	487 407	478 639	499 409	461 614	468 424	2 980 536
Trade and other payables	844 143	5 368	4 823	4 613	4 681	4 167	867 795
Derivatives	1 083	10 952	12 877	6 789	—	—	31 701
TOTAL	2 657 268	1 753 727	1 502 339	1 960 811	1 836 295	1 122 591	10 833 031

The interest payments on variable interest rate loans and bond issues in the table alongside reflect market forward interest rates at the reporting date and these amounts may change as market interest rates change. The future cash flows on derivative instruments may be different from the amount in the alongside table as interest rates and exchange rates change. Except for these financial liabilities, it is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

5.3.4 FINANCIAL GUARANTEE

The Company provided a financial guarantee in favour of Nedbank in terms of which the Company guarantees the fulfilment of Mabel Black Knight Investments 1 Proprietary Limited's obligations to Nedbank, limited to R10 million. Nedbank will release this security once Mabel's LTV reaches 50% or less and ICR of 2 times.

5.4 MARKET RISK

Market risk is the risk that changes in market prices will affect the Company's income or the value of its holdings of financial instruments. From the Company's perspective, the main market risks at present pertain to interest rates and foreign exchange rates (principally the GBP/ZAR exchange rate). The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. The Company uses derivatives to manage market risks. All such transactions are carried out within the Company's treasury policy guidelines set by the Risk and Capital Committee.

The Company does not apply hedge accounting and does not enter into derivative contracts for trading or speculative purposes.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

5. FINANCIAL RISK MANAGEMENT (CONTINUED)

5.4 MARKET RISK (CONTINUED)

5.4.1 MANAGING INTEREST RATE BENCHMARK REFORM AND ASSOCIATED RISKS

OVERVIEW

The South African Reserve Bank (“SARB”) has continued its benchmark reform programme to replace the Johannesburg Interbank Average Rate (“JIBAR”) with the South African Rand Overnight Index Average (“ZARONIA”), which is the designated successor rate. Market transition has progressed, including the commencement of the “ZARONIA First” initiative for parts of the derivatives market from May 2025. On 3 December 2025, the SARB announced that JIBAR will be permanently discontinued after its final publication on 31 December 2026. In addition, the transition roadmap includes a “No new JIBAR” milestone effective from 1 May 2026, after which new JIBAR-linked exposures are expected to be avoided, subject to limited exceptions. The Company continues to monitor the transition of its JIBAR-referencing contracts and engage with counterparties as required. For listed notes issued by the Company, the applicable pricing supplements contain mechanisms to apply an alternative reference rate. As at the reporting date, certain contracts remained referenced to JIBAR and are disclosed in the table below. Based on the Company’s assessment to date, the transition to ZARONIA is not expected to have a material impact on the Company’s assessment of interest rate risk.

DERIVATIVES

The Company holds derivatives, including interest rate swaps, for risk management purposes which have floating legs that are indexed to ZAR JIBAR. The Company’s derivative instruments are governed by contracts based on International Swaps and Derivatives Association (“ISDA”) master agreements. The transition from ZAR JIBAR to an alternative secured overnight financing rate (ZARONIA) may occur at different times for the hedged item and hedging instrument, which may lead to hedge ineffectiveness. The Company will endeavour to match the timing of the transition of liabilities referenced to ZAR JIBAR with the timing of the transition of derivatives related to those liabilities to the extent possible.

R'000	2026	2025
LIABILITIES EXPOSED TO ZAR JIBAR MATURING AFTER YEAR END		
Long-term debt	7 626 000	6 873 000
Derivatives	108 368	31 155
TOTAL	7 734 368	6 904 155

5.4.2 DERIVATIVE INSTRUMENTS

The Company utilises a range of derivative instruments to hedge market risks. The Company does not enter into derivative instruments for speculative purposes. All derivative instruments are valued at mark-to-market. The table below describes the reason for the utilisation of the derivative instruments employed by the Company.

DERIVATIVE	RISK MITIGATION
INTEREST RATE SWAPS AND DERIVATIVES	The Company enters into derivative financial instruments to manage its exposure to interest rates by hedging the interest rate exposure on floating rate loans.
FX AVERAGE RATE ZERO-COST COLLARS AND FORWARDS	The Company enters into foreign exchange derivatives to manage exposure to foreign exchange risk by forward selling foreign currency according to predetermined foreign income hedging levels.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

5. FINANCIAL RISK MANAGEMENT (CONTINUED)

5.4 MARKET RISK (CONTINUED)

5.4.2 DERIVATIVE INSTRUMENTS (CONTINUED)

R'000	NOTES	2026	2025
5.4.2.1 DERIVATIVE INSTRUMENTS			
Interest rate swaps		(6 841)	52 049
Interest rate derivatives		(44 823)	(9 059)
FX zero-cost collars		5 368	3 075
TOTAL		(46 296)	46 065
Derivative financial assets	5.2.2	62 072	77 766
Derivative financial liabilities	5.3.2	(108 368)	(31 701)
5.4.2.2 NOTIONAL VALUE OF DERIVATIVE INSTRUMENTS			
Interest rate swaps		7 702 879	5 849 599
Interest rate derivatives		200 000	200 000
FX zero-cost collars		68 105	258 796
TOTAL		7 970 984	6 308 295
5.4.2.3 NOTIONAL VALUE OF ZAR-DENOMINATED DERIVATIVES			
Interest rate swaps		7 634 000	5 775 000
Interest rate derivatives		200 000	200 000
TOTAL		7 834 000	5 975 000
5.4.2.4 NOTIONAL VALUE OF GBP-DENOMINATED OR GBP-REFERENCED DERIVATIVES			
Interest rate swaps		3 200	3 200
FX zero-cost collars		3 164	11 116
TOTAL		6 364	14 316

5.4.3 CURRENCY RISK

The Company is exposed to transactional foreign currency risk to the extent that there is a mismatch between ZAR and GBP. The Company has GBP denominated investment in an Isle of Man subsidiary which distributes earnings in GBP. To hedge this foreign currency exposures, the Company enters into derivative instruments.

The following exchange rates have been applied:

	2026	2025
GBP/ZAR year-end spot rate	21.5247	23.2808
5.4.3.1 EXPOSURE TO CURRENCY RISK		
The Company's exposure to currency risk on financial assets and financial liabilities is as follows:		
Cash and cash equivalents	17	—
Trade and other payables	(7)	(29)
Derivatives	953	3 059
NET STATEMENT OF FINANCIAL POSITION EXPOSURE	963	3 030
Next 12 months forecast distributable income	4 249	6 573
NET FORECAST TRANSACTION EXPOSURE	4 249	6 573
NET EXPOSURE	5 212	9 603



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

5. FINANCIAL RISK MANAGEMENT (CONTINUED)

5.4 MARKET RISK (CONTINUED)

5.4.3 CURRENCY RISK (CONTINUED)

5.4.3.2 HEDGING OF DISTRIBUTIONS FROM SUBSIDIARY

The Company utilises natural hedges to minimise its exposure of fluctuations in foreign exchange rates on its distributable earnings to the full extent possible. Interest settlement by foreign subsidiaries on GBP-denominated loans and by the Company on GBP-denominated derivative hedges, partially hedges its foreign exchange rate exposure. In relation to the residual exchange rate risk, the Company assesses the likely impact on the funds to be received from its foreign operations of reasonably possible changes in the GBP/ZAR exchange rate using financial modelling and hedges its exposure to this exchange rate. The Company has implemented a base hedging level for funds expected to be earned from its UK operations in the next 24 months in line with the below policy.

- Hedge 80% of the income projected to be received in the following 6 months;
- Hedge 70% of the income projected to be received in months 7 to 12;
- Hedge 45% of the income projected to be received in months 13 to 18; and
- Hedge 30% of the projected income to be received in months 19 to 24.

In addition, in light of the pending disposal of the UK income-producing asset base, the Company has reassessed the probability and extent of rental income expected over the next 24 months and has accordingly reduced the level of distributable income hedging over that period to reflect the lower anticipated UK operating cash flows. Net operating income continues to be hedged using monthly average forwards and collars in accordance with Treasury policy, while any material non-operating cash flows are assessed on a case-by-case basis, taking into account associated debt repayments and hedging positions.

SIX-MONTH PERIOD ENDING	EFFECTIVE HEDGING LEVEL	BLENDED PARTICIPATION FLOOR	BLENDED PARTICIPATION CAP
31 August 2026	40%	R23.43/£	R25.79/£
28 February 2027	18%	R23.30/£	R26.19/£

5.4.3.3 SENSITIVITY ANALYSIS TO EXCHANGE RATES

The sensitivity analysis applies two standard deviations ("2SD") above and below the GBP/ZAR 52-week simple moving average exchange rate. This includes the impact of currency hedging and assumes that other macroeconomic factors remain unchanged.

An analysis of the sensitivity of changes in exchange rates has been performed in relation to net profit and total equity:

	2026		2025	
	2SD GBP/ZAR STRENGTH	2SD GBP/ZAR WEAKNESS	2SD GBP/ZAR STRENGTH	2SD GBP/ZAR WEAKNESS
Spot exchange rate	23.3634	19.6860	24.0311	22.5305
Net profit (R'000)	11 819	(12 934)	973	(973)
Total equity (R' 000)	1 046	881	296	(296)





Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

5. FINANCIAL RISK MANAGEMENT (CONTINUED)

5.4 MARKET RISK (CONTINUED)

5.4.4 INTEREST RATE RISK

The Company is exposed to interest rate risk on interest-bearing borrowings, cash and cash equivalents and other short-term interest-bearing investments. The interest rate risk on cash and cash equivalents is deemed to be insignificant.

The Company manages its interest rate risk by entering into fixed-rate loans and using interest rate derivatives to hedge variable rate debt.

R'000	2026	2025
5.4.4.1 INTEREST RATE DERIVATIVE INSTRUMENTS		
The following table depicts the nominal value of the interest rate derivative instruments which the Company has utilised to hedge floating rate liabilities:		
JIBAR-linked interest rate swaps	7 634 000	5 775 000
JIBAR-linked interest rate derivatives	200 000	200 000
SONIA-linked interest rate swaps	68 879	74 499
TOTAL INTEREST RATE DERIVATIVES	7 902 879	6 049 499
5.4.4.2 HEDGING EFFECTIVENESS		
The Company regularly assesses the adequacy of its interest rate cover by analysing the effective interest hedging cover on total committed future financing cash outflows.		
Total nominal value of interest rate hedges	7 902 879	6 049 499
HEDGE COVER	7 902 879	6 049 499
Debt balance	7 626 000	6 873 000
EFFECTIVE HEDGING COVER ON LOAN BALANCES	103.6%	88.0%

5.4.4.3 SENSITIVITY ANALYSIS TO INTEREST RATES

The Company has calculated the sensitivity of changes in interest rates on net profit assuming a 50bp parallel shift of the yield curve in either direction. As the main component of the movement in net profit for the year would arise from an accounting mismatch whereby derivatives are fair valued and the related financial liabilities are not, the Company has also outlined the impact of changes in interest rates on distributable earnings which it considers to be more appropriate. The sensitivity analysis includes the impact of interest rate hedging and it assumes that other macroeconomic factors remain unchanged.

	2026		2025	
R'000	+50 BP	-50 BP	+50 BP	-50 BP
Net profit	11 880	(19 280)	(2 582)	2 582



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

6. FAIR VALUE MEASUREMENT

Assets and liabilities recognised and subsequently measured at fair value are categorised into a three-tier hierarchy that reflects the significance of the inputs used in the valuation technique. The levels of the hierarchy are defined as follows:

Level 1 – unadjusted, quoted prices in an active market for identical assets and liabilities. Quoted prices are readily available from an exchange, dealer, broker, industry group, pricing service or regulatory agency and those prices represent actual and regularly occurring market transactions on an arm's length basis.

Level 2 – valuation techniques using inputs that are observable either directly (i.e. as prices other than quoted prices that are included in level 1) or indirectly (i.e. from derived prices).

Level 3 – valuation techniques using inputs that are not based on observable market data (unobservable inputs).

R'000	NOTE	LEVEL OF HIERARCHY	2026	2025
ASSETS AND LIABILITIES MEASURED AT FAIR VALUE				
FINANCIAL ASSETS				
Derivative financial instruments	5.2.2	Level 2	62 072	77 766
FINANCIAL LIABILITIES				
Derivative financial instruments	5.3.2	Level 2	(108 368)	(31 701)
NON-FINANCIAL ASSETS				
Investment properties ¹	3.1	Level 3	7 031 498	6 434 561

¹ Excluding investment property held-for-sale.

There have been no transfers between level 1, level 2 or level 3 during the period under review. Derivative financial instruments are measured with reference to observable market inputs (interest rates, yield curves, FX rates) based on mid-market levels.

SENSITIVITY OF FAIR VALUES TO CHANGES IN UNOBSERVABLE INPUTS (LEVEL 3):

Valuation of income-producing investment properties is sensitive to changes in unobservable inputs used in determining fair value.

2026 (R'000)	EXIT CAPITALISATION RATES		DISCOUNT RATES		MARKET RENTALS	
Change in input	-0.1%	+0.1%	-0.1%	+0.1%	+5.0%	-5.0%
INCREASE/(DECREASE) IN FAIR VALUE OF INVESTMENT PROPERTY	110 929	(136 823)	119 689	(160 649)	125 747	(169 903)
2025 (R'000)	EXIT CAPITALISATION RATES		DISCOUNT RATES		MARKET RENTALS	
Change in input	-0.1%	+0.1%	-0.1%	+0.1%	+5.0%	-5.0%
INCREASE/(DECREASE) IN FAIR VALUE OF INVESTMENT PROPERTY	112 291	(92 830)	116 463	(107 874)	125 409	(120 877)



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

7. CASH AND CASH EQUIVALENTS

ACCOUNTING POLICY

Cash comprises cash on hand and positive bank balances. Cash equivalents are short-term highly liquid investments that are readily convertible to known amounts of cash and not subject to a significant risk of a change in value.

R'000	2026	2025
COMPOSITION OF CASH AND CASH EQUIVALENTS		
Current accounts	1 588	6 763
Cash on call	1 358 305	1 232 597
CASH AND CASH EQUIVALENTS	1 359 893	1 239 360

Cash and cash equivalents comprise amounts which are immediately available and the carrying amounts are equivalent to the fair values.

All cash and cash equivalents and derivative financial assets are held with reputable financial institutions. Cash balances are only retained for working capital requirements.

The Company is exposed to credit risk on cash deposits at financial institutions. Included in the cash on call account is R29.4 million (2025: R24.2 million) restricted cash relating to tenant deposits held in 32-day call accounts with First Rand Bank Ltd. The breakdown of this exposure by counterparty is as follows:

FOREIGN CURRENCY LONG TERM DEPOSIT RATINGS	MOODY'S	S&P		
Investec Bank	Baa3	BB	7 293	157 090
First Rand Bank Ltd	Baa3	BB	29 624	24 341
Nedbank	Baa3	BB	1 322 095	1 057 912
Standard Bank of South Africa	Baa3	Not rated	881	17
CASH AND CASH EQUIVALENTS			1 359 893	1 239 360

8. SUBSIDIARIES

Investments in subsidiaries at cost

Accumulated impairment

INVESTMENT IN SUBSIDIARIES

2026	2025
8 953 966	8 941 282
(4 271)	(4 271)
8 949 695	8 937 011

ACCOUNTING POLICY

INVESTMENT IN SUBSIDIARIES

Investments in subsidiaries are carried at cost (including transaction costs) less any accumulated impairment losses. The carrying amount of these investments are reviewed annually for impairment. Impairment indicators are present where fair value of the underlying investment property is less than the carrying amount of the investment in subsidiary.

LOANS TO AND FROM SUBSIDIARIES

Loans to and from subsidiaries are initially recognised at the fair value of the consideration receivable or payable plus transaction costs, and subsequently measured at amortised cost using the effective interest method. Loans to subsidiaries are tested for impairment using the expected credit loss model per IFRS 9 Financial Instruments. Loans to subsidiaries are classified as current as these are balances arising from current accounts between the Company and its subsidiaries and daily cash pooling arrangements. Loans from subsidiaries are classified as current due to inability to defer payments, and they are payable on demand.

EFFECTIVE INTEREST METHOD

The effective interest rate is the rate that exactly discounts estimated future cash payments (including fees paid) through the expected life of the financial liability. Interest income on loans to subsidiaries, and interest expense on loans from subsidiaries, are recognised in profit or loss.

EXPECTED CREDIT LOSS ASSESSMENT

Expected credit losses on loans to subsidiaries are based on the subsidiary's ability to settle the loan at the reporting date. Where a subsidiary has insufficient liquid assets to be able to immediately settle the loan on demand, the Company strategy is to recover the outstanding balance over time, in which case the expected cash flows are discounted at the effective rate of the loan to subsidiaries, i.e. 0%. Consequently, expected credit losses are realised to the extent that the subsidiary has insufficient assets to repay its debt.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

8. SUBSIDIARIES (CONTINUED)

ACCOUNTING POLICY (CONTINUED)

CRITICAL ESTIMATES AND JUDGEMENTS

ASSESSMENT OF CLASSIFICATION OF INVESTMENT AS A SUBSIDIARY: PLUMBAGO INVESTMENT PLATFORM PROPRIETARY LTD ("PIP")

Equites and Eskom Pension and Provident Fund ("EPPF") established a strategic venture in respect of a logistics campus let to DSV Solutions. To determine whether Equites exercises control over PIP, the Group carefully assessed the below IFRS10 considerations.

POWER OVER PIP

The business of the PIP group is broadly defined to include a number of activities of a property company, with the main relevant activity relating to the selecting, acquiring and disposing of property assets. As the PIP group has third-party debt, a relevant activity also includes the ability to select and structure the funding in the vehicle. Decisions about the relevant activities of PIP are made by the board. Through its majority stake, Equites is able to appoint one additional director and is therefore able to direct decisions over the relevant activities. The substantive rights inferred through its majority stake also include the ability to appoint key management personnel, the ability to enter into significant transactions and the ability to dominate the nomination of members to PIP's board.

RIGHT TO VARIABLE RETURNS

Equites, as a holder of 51% of the equity in PIP, remains exposed to both downside risks and upside potential as a result of the broad scope of the business that PIP can conduct and through its ability to direct the activities that are undertaken by PIP.

ABILITY TO USE ITS POWER OVER PIP TO CONTROL THE AMOUNT OF RETURNS

Equites' power over PIP gives Equites the ability to affect the amount of returns generated by PIP. As Equites actively manages the PIP group, Equites determines the amount of dividends to be declared by PIP.

Through the above assessment it was concluded that PIP shall be recognised as a subsidiary of Equites.

CRITICAL ESTIMATES AND JUDGEMENTS

ASSESSMENT OF CLASSIFICATION OF INVESTMENT AS A SUBSIDIARY: RETAIL LOGISTICS FUND (RF) PROPRIETARY LTD ("RLF")

Equites and Shoprite Checkers Proprietary Limited ("Shoprite") established a strategic venture in respect of Shoprite's distribution centres. Equites acquired a 50.1% stake in RLF on 4 November 2020, when the distribution centres transferred to RLF, with Shoprite holding the remaining 49.9%.

To determine whether RLF is a subsidiary of Equites, the Company carefully assessed the below IFRS 10 considerations.

POWER OVER RLF

The business of RLF is broadly defined to include a number of activities of a property company, with the main relevant activity relating to the selecting, acquiring and disposing of property assets and the related funding thereof. Decisions about the relevant activities of RLF are made by the board. Through its majority stake, Equites is able to appoint one additional director and is therefore able to direct decisions over the relevant activities. The substantive rights inferred through its majority stake also include the ability to appoint key management personnel, the ability to enter into significant transactions and the ability to dominate the nomination of members to RLF's board.

RIGHT TO VARIABLE RETURNS

Equites, as a holder of 50.1% of the equity in RLF, remains exposed to both downside risks and upside potential as a result of the broad scope of the business that RLF can conduct and through its ability to direct the activities that are undertaken by RLF.

ABILITY TO USE ITS POWER OVER RLF TO CONTROL THE AMOUNT OF RETURNS

Equites' power over RLF gives Equites the ability to affect the amount of returns generated by RLF. As Equites actively manages RLF, Equites determines the amount of dividends to be declared by RLF.

Through the above assessment it was concluded that RLF shall be recognised as a subsidiary of Equites.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

8. SUBSIDIARIES (CONTINUED)

R'000	NOTE	ACQUISITION DATE	EFFECTIVE HOLDING	INVESTMENT ³		LOAN TO/(FROM) SUBSIDIARIES	
				2026	2025	2026	2025
Dormell Properties 711 Proprietary Limited		1 Jun 2014	100%	40 802	40 802	51 800	50 700
EA Waterfall Logistics JV Proprietary Limited		1 Jul 2016	100%	390 335	390 335	261 200	228 100
Equites Atlantic Hills Proprietary Limited		1 Oct 2015	100%	38 045	38 045	403 500	396 215
Equites International Limited ¹		19 Apr 2016	100%	4 989 061	4 989 061	—	—
Equites Investments 1 Proprietary Limited		1 Jul 2015	100%	468 763	468 763	2 025 300	1 920 725
Equites Property Management Services Proprietary Limited		1 Mar 2014	100%	—	—	(1 290)	(2 300)
Equites Tridecvo Proprietary Limited ² (previously Prop For List Proprietary Limited)	8.1	1 Mar 2014	100%	12 684	—	26 460	—
Galt Property One Proprietary Limited		1 Mar 2014	100%	50 500	50 500	(77 700)	(77 700)
Galt Property Two Proprietary Limited		1 Mar 2014	100%	64 445	64 445	49 880	172 100
Kovacs Investments 715 Proprietary Limited		1 Mar 2014	100%	60 610	60 610	109 700	120 700
Plumbago Investments Platform Proprietary Limited		25 Nov 2019	51%	735 315	735 315	—	—
Retail Logistics Fund (RF) Proprietary Limited		4 Nov 2020	50.1%	2 053 479	2 053 479	—	—
Swish Property Seven Proprietary Limited		1 Mar 2014	100%	45 656	45 656	(50 400)	31 800
TOTAL				8 949 695	8 937 011	2 798 450	2 840 340

¹ Incorporated in the Isle of Man.

² Loan is unsecured and bears interest at prime less 1%.

³ No impairment indicator was identified in the current year



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

8. SUBSIDIARIES (CONTINUED)

R'000	2026	2025
8.1 RECONCILIATION OF INVESTMENT IN SUBSIDIARIES		
Opening balance	8 937 011	8 937 011
Shares acquired	12 684	—
CLOSING BALANCE	8 949 695	8 937 011
8.2 RECONCILIATION OF LOANS TO/(FROM) SUBSIDIARIES		
Opening balance	2 840 340	2 861 641
LOANS FROM SUBSIDIARIES:		
Proceeds from subsidiaries	(88 403)	(13 100)
Repayment to subsidiaries	39 013	14 271
LOANS TO SUBSIDIARIES:		
Advanced to subsidiaries	870 412	1 151 132
Repayments by subsidiaries	(863 172)	(1 173 604)
Interest capitalised 23.2.3	260	—
Shares issued 8.1	(12 684)	—
Loss allowance remeasurement 8.3	12 672	—
Fees settled through loan account	12	—
NET CLOSING BALANCE	2 798 450	2 840 340
All amounts owing by subsidiaries are unsecured, interest-free and payable on demand, unless otherwise disclosed.		
CLASSIFICATION OF LOANS TO/(FROM) SUBSIDIARIES		
Current assets	2 901 380	2 920 340
Non-current asset	26 460	—
Current liabilities	(129 390)	(80 000)
TOTAL	2 798 450	2 861 641
8.3 EXPECTED CREDIT LOSS ALLOWANCE RECONCILIATION OF LOSS ALLOWANCE		
The following table shows the movement in the loss allowance for loans to subsidiaries.		
Opening balance	12 672	12 672
Provision remeasurement	(12 672)	—
CLOSING BALANCE	—	12 672

No loans to subsidiaries (2025: nil) have been written off during the year.

9. TRADE AND OTHER RECEIVABLES

ACCOUNTING POLICY

Trade and other receivables are initially recognised at fair value and subsequently measured at amortised cost less expected credit loss ("ECL"). Trade receivables are amounts due from tenants for contractual lease charges and recoveries and are classified as current assets unless recovery is expected more than 12 months from the reporting date. The fair value of trade and other receivables approximates the carrying amounts due to its short-term nature.

The Company has credit vetting procedures in place before entering into leases with new tenants. The Company's tenants are predominantly blue-chip companies and there were no significant concentrations of credit risk at year-end.

WRITE OFF POLICY

The Company recognised bad debts where it is reasonably certain that the amounts are non-recoverable or where the Company does not intend to pursue legal action to recoup the amount outstanding.

EXPECTED CREDIT LOSS ASSESSMENT – TENANT RECEIVABLES

Trade receivables are assessed for impairment at each reporting date. The Company applies the simplified approach permitted by IFRS 9: Financial Instruments, which requires lifetime ECL to be recognised from initial recognition of the trade receivable. This represents the ECL that will result from all possible default events over the expected life of the trade receivable. A tenant is considered to be in default if no payment is received within a month.

The Company makes use of a provision matrix based on the payment profile of trade receivables and the historical credit losses experienced over the period. Trade receivables are aggregated into groups of receivables that share similar credit risk characteristics. In assessing the appropriate grouping, we have considered the applicable region, tenant grading (A-grade, B-grade or C-grade) and credit life cycle (performing vs non-performing).

The historical loss rates are adjusted to reflect current and forward-looking information that could significantly impact the tenant's ability to settle the receivable. The forward-looking adjustment was based on the change in credit default risk of government bonds in South Africa (R2032).

ECL is recorded in the loss allowance account until the Company is satisfied that no recovery of the amount owing is possible, at which point the amount is considered irrecoverable and is written off against trade receivables directly. Movements in ECL are included in property operating and management expenses in the statement of comprehensive income.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

9. TRADE AND OTHER RECEIVABLES (CONTINUED)

EXPECTED CREDIT LOSS ASSESSMENT – OTHER RECEIVABLES

Deferred consideration: We have assessed the impact of expected credit losses on other receivables considering the probability of default, debtor's credit rating and potential recourses on the deferred consideration and deem the impact to be immaterial.

Sundry debtors: We have assessed the impact of expected credit losses considering the probability of default, debtor's credit rating and potential recourses on the other receivable and deem the fair value of the other receivables to be consideration expected.

CRITICAL ESTIMATES AND JUDGEMENTS

VALUATION OF DEFERRED CONSIDERATION

Deferred purchase consideration consist of a contractual receivable in relation to the land sale at Lords View, Gauteng.

This receivable includes a significant financing component and is discounted to present value on initial recognition to the cash price equivalent that would be reflected in a separate financing transaction. The discount rate applied was determined using current market interest rates adjusted for the buyer's credit risk. The discount rate is not subsequently adjusted for changes in interest or other circumstances. The difference between the contracted amount and the deferred consideration is treated as interest income and is recognised over the period until actual receipt, using the effective interest method.

R'000	NOTE	2026	2025
Gross trade receivables (tenants)		10 540	7 029
Loss allowance	9.3	(91)	(935)
NET TENANT RECEIVABLE		10 449	6 094
Municipal and rental deposits		8 985	9 054
Supplier development loan	9.4	27 750	23 000
Sundry debtors		5 113	7 989
Accrued income		34 826	3 547
Municipal receivables		15 677	19 396
Deferred consideration		2 612	2 436
Prepaid expenses		14 273	6 213
VAT receivable		968	—
Other receivables		6	1 521
TRADE AND OTHER RECEIVABLE		120 659	79 250
Non-current		—	2 436
Current		120 659	76 814
CLASSIFICATION OF TRADE AND OTHER RECEIVABLES			
The Company's trade and other receivables have been classified as follows:			
Financial instruments at amortised cost		105 418	73 037
Non-financial instruments		15 241	6 213
TRADE AND OTHER RECEIVABLE		120 659	79 250



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

9. TRADE AND OTHER RECEIVABLES (CONTINUED)

R'000	2026	2025
9.1 CREDIT QUALITY OF TRADE RECEIVABLES		
The credit quality of trade receivables is evaluated with reference to available financial information and history with the Company and can be categorised into the following groups:		
A – Large multinational companies, large listed companies and government organisations	10 504	5 276
C – Other local tenants and sole proprietors	36	1 753
GROSS TRADE RECEIVABLES	10 540	7 029
The maximum exposure to credit risk for trade and other receivables are the carrying values.		
9.2 AGEING OF TRADE RECEIVABLES		
The ageing of trade receivables as at year end was follows:		
Current	7 728	3 509
1 – 30 days past due	2 300	1 388
31 – 60 days past due	213	620
61 – 90 days past due	4	211
91 days past due or more	295	1 301
GROSS TRADE RECEIVABLES	10 540	7 029

9.3 EXPECTED CREDIT LOSS ALLOWANCE

The ECL provision was determined as follows for tenant receivables:

R'000	EXPECTED CREDIT LOSS RATE		TRADE RECEIVABLES	
	2026	2025	2026	2025
Current	0.00%	0.00%	—	—
1 – 30 days past due	3.97%	37.97%	91	527
31 – 60 days past due	0.00%	0.00%	—	—
61 – 90 days past due	0.00%	90.52%	—	191
91 days past due or more	0.00%	16.68%	—	217
TOTAL			91	935

RECONCILIATION OF LOSS ALLOWANCE

The following table shows the movement in the loss allowance (lifetime expected credit losses) for trade and other receivables:

Opening balance	935	134
Remeasurement of loss allowance	(844)	801
CLOSING BALANCE	91	935

R0.2 million of trade receivables (2024: nil) have been written off during the year.

9.4 SUPPLIER DEVELOPMENT LOAN

R'000	2026	2025
DAS Solar Proprietary Limited	27 750	—
Damon at Sons Construction Proprietary Limited	—	23 000
SUPPLIER DEVELOPMENT LOAN	27 750	23 000

These amounts were advanced as part of our supplier development programme and are unsecured, do not bear interest and have no fixed terms of repayment.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

10. LOAN RECEIVABLE

ACCOUNTING POLICY

The Company holds a loan receivable which is classified as a financial asset at amortised cost as the payments comprise solely principal and interest. Loans receivable are initially recognised at fair value and subsequently measured at amortised cost using the effective interest rate method less ECL.

EXPECTED CREDIT LOSS ASSESSMENT – LOAN RECEIVABLE ILANGA LAKUSASA PROPRIETARY LIMITED

The loan is secured by a bond over this property, in favour of the Company. The ECL on this loan is considered to be immaterial as a result of the security in place and its resultant effect in adequately reducing the loss given default.

EXPECTED CREDIT LOSS ASSESSMENT – LOAN RECEIVABLE MABEL BLACK KNIGHT INVESTMENTS 1 PROPRIETARY LIMITED & BOPA MORUO ERF 497 PROPRIETARY LIMITED

Taking into consideration the current net asset value and liquidity situation of the borrower, the Company does not see any premise for loan impairment. The borrower is considered to have the capacity to meet their obligation resulting from loans, therefore the credit risk of the loans is assessed very low.

Loan receivables are assessed for impairment at each reporting date. ECL assessment considers the current net asset value and liquidity situation of the borrowers. The ECL is calculated by considering forward-looking macroeconomic factors, the likelihood of default based on the repayment performance of the borrower, and applying these to the amount owing and the probability of default.

R'000	NOTE	2026	2025
Ilanga Lakusasa Proprietary Limited		144 550	145 550
Mabel Black Knight Investments 1 Proprietary Limited		45 307	57 307
BOPA Moruo ERF 497 Proprietary Limited		29 500	29 500
Ata Terra Proprietary Limited		549	—
CAPITAL BALANCE	10.1	219 906	232 357
Accrued interest income		2 578	10 009
Loss allowance	10.2	(518)	(585)
LOAN RECEIVABLE		221 966	241 781
Current		5 392	12 875
Non-current		216 574	228 906

R'000	2026	2025
10.1 RECONCILIATION OF CAPITAL BALANCE		
Opening balance	232 357	199 854
Loan advanced	549	32 503
Loan repaid	(13 000)	—
CAPITAL BALANCE	219 906	232 357

The loan to Ilanga Lakusasa is secured, bears interest at the prime rate and capital is repayable in February 2028.

The loan to Mabel bears interest at the prime overdraft rate and interest is repayable quarterly, compounded monthly, and capital is repayable in four equal annual instalments of 5% of the loan advanced with the balance repayable on the loan termination date in July 2027.

The BOPA Moruo ERF 497 Proprietary Ltd ("BOPA") loan was concluded on 22 March 2024 in terms of a Statement 102 B-BBEE transaction and included the advancement of a five year loan to Bopa of R29.5 million, which bears interest at the prime overdraft rate and interest is payable quarterly, compounded monthly and capital is repayable on the termination of the loan.

Loans receivable are considered to have low credit risk. Refer to **note 5** for details of the Company's credit risk management policies.

10.2 EXPECTED CREDIT LOSS ALLOWANCE – LOAN RECEIVABLES

The expected credit loss has been determined, taking into consideration interest payment history and the credit risk of the borrowers

RECONCILIATION OF LOSS ALLOWANCE

The following table shows the movement in the loss allowance for loan receivables:

Opening balance	585	0
Measurement of loss allowance	(67)	585
CLOSING BALANCE	518	585



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

11. STATED CAPITAL

ACCOUNTING POLICY

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new ordinary shares and share options are recognised as a deduction from equity.

TREASURY SHARES

Unvested restricted shares forfeited by employee participants of the CSP are classified as treasury shares. The cost price of these shares, together with related transaction costs, is deducted from equity. The issued and weighted average number of shares is reduced by the unvested restricted shares held for employee participants in terms of the CSP for the purposes of the basic earnings per share calculations. Treasury shares are reallocated to issued shares when the shares have been allocated to an employee participant in terms of the CSP. When treasury shares held for employee participants vest in such participants, the shares are no longer classified as treasury shares, but included as part of issued share capital.

SHARE REPURCHASES AND CANCELLATIONS

Consideration paid for share buybacks, including any directly attributable incremental costs are deducted from equity. These shares are held as treasury shares until they have been cancelled by the JSE.

	NUMBER OF SHARES		AMOUNT (R'000)	
	2026	2025	2026	2025
11.1 AUTHORISED SHARES				
Ordinary shares, of the same class and no par value	2 000 000 000	2 000 000 000	—	—
11.2 ISSUED SHARES				
Ordinary shares, of the same class and no par value	867 290 341	835 179 723	13 549 132	12 964 582

The unissued shares are under the control of the directors (subject to limitations set by shareholders' resolutions) until the next annual general meeting.

11.3 RECONCILIATION OF ISSUED SHARES

	NUMBER OF SHARES		AMOUNT (R'000)	
	2026	2025	2026	2025
ISSUED SHARES:				
Opening balance	835 179 723	780 684 498	12 964 582	12 257 584
Shares issued in respect of conditional share plan	392 593	785 593	6 026	10 551
Shares issued for cash ¹	41 299 540	—	712 417	—
Shares issued in terms of dividend reinvestment programme	—	53 709 632	—	696 129
Shares repurchased ²	(9 581 515)	—	(132 932)	—
Share issue costs	—	—	(961)	318
ISSUED SHARES	867 290 341	835 179 723	13 549 132	12 964 582
TREASURY SHARES:				
Opening balance	693	2 877	9	55
Treasury shares issued in terms of conditional share plan	(693)	(19 080)	—	(309)
Shares forfeited in respect of conditional share plan	—	16 896	(9)	263
TREASURY SHARES	—	693	—	9
NET SHARE CAPITAL	867 290 341	835 179 030	13 549 132	12 964 573

¹ Shares were issued, in terms of the general authority to issue shares, for cash at a price of R17.25 per share

² 9 375 576 shares repurchased by the Company between 03 March 2025 and 16 April 2025 at an average price of R13.82 per share. The remaining shares repurchased relates to shares from the participants of the conditional share plan which were repurchased by the Company. 9,188,922 shares were delisted and reverted to authorised but unissued shares..



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

12. SHARE-BASED PAYMENT RESERVE

ACCOUNTING POLICY

For equity-settled share-based payment transactions, the Company measures the goods or services received, and the corresponding increase in equity, directly, at the fair value of the goods or services received, unless that fair value cannot be estimated reliably. If the Company cannot estimate reliably the fair value of the goods or services received, the Company measures their value, and the corresponding increase in equity, indirectly, by reference to the fair value of the equity instruments granted.

The Company operates a conditional share plan, which is classified as an equity-settled share-based payment plan, under which it receives services from employees as consideration for equity instruments of the Company. Executive directors and all employees are beneficiaries under the scheme. The fair value of the employee services received in exchange for the grant of shares is recognised as an expense on a straight-line basis over the vesting period, with a corresponding adjustment to the share-based payment reserve.

The total amount expensed to profit or loss is determined by reference to the fair value rights to equity instruments granted, including any market performance conditions and excluding the impact of any non-market performance vesting conditions. Non-market performance vesting conditions are included in assumptions regarding the number of shares granted that are expected to vest. At the end of each reporting period, the Company revises its estimates of the number of shares granted that are expected to vest and recognises the impact of any changes in profit or loss with a corresponding adjustment to equity.

The effect of all conditional shares granted is taken into account when calculating diluted earnings and diluted headline earnings per share.

R'000	NOTE	2026	2025
Conditional share plan	12.1	23 358	38 431
SHARE BASED PAYMENT RESERVE		23 358	38 431

12.1 CONDITIONAL SHARE PLAN

In terms of its conditional share plan, the Company has granted conditional shares to executive directors and staff.

Long-term incentive awards are granted annually in the form of conditional shares in Equites. The total quantum of shares (at face value) awarded for the year was set as 85% of TGP for the CEO and 80% of TGP for the COO and CFO based on the 30-day VWAP on the date of the award. For individual employees, awards are made based on individual employment contracts. All awards are subject to performance conditions and require the participant to be employed by the Group until the 31st May following the end of the 3-year performance period.

The full details of the scheme will be included in the [remuneration report](#).

The CSP awards have been recognised as equity-settled share-based payments as a separate category within equity. The fair value of the IFRS® 2 Share-based payment charge has been measured using the Black-Scholes formula. The following assumptions were incorporated in the valuation:

ASSUMPTIONS	2023 AWARD GRANTED	2024 AWARD GRANTED	2025 AWARD GRANTED	2026 AWARD GRANTED
Closing number of unvested instruments – Directors	1 816 864	2 203 685	2 290 437	1 789 268
Closing number of unvested instruments – Other	580 928	935 594	1 247 566	—
Weighted average fair value of instruments at measurement date	45 989 658	60 211 378	67 858 904	34 318 160
Grant date	27 Feb 2023	29 Feb 2024	26 Feb 2025	26 Feb 2026
Vesting date	31 May 2028	31 May 2029	31 May 2030	31 May 2031
Issue price (30 day VWAP)	R15.82	R13.83	R13.90	R18.69
Forfeiture rate – conditional share plan	5.0%	5.0%	5.0%	5.0%
Forfeiture rate – matching shares	7.5%	7.5%	7.5%	7.5%
Performance condition factor	75.0%	75.0%	75.0%	75.0%



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

12. SHARE-BASED PAYMENT RESERVE (CONTINUED)

12.1 CONDITIONAL SHARE PLAN (CONTINUED)

12.1.1 RECONCILIATION OF CONDITIONAL SHARE PLAN RESERVE

R'000	NOTE	2026	2025
Opening balance		38 431	30 570
Expense recognised in profit or loss		(9 038)	18 458
Shares issued ¹		(6 035)	(10 860)
Shares forfeited	11.3	—	263
CLOSING BALANCE		23 358	38 431

¹ Issued shares are subject to a 2 year restriction as detailed above (mandatory for Executive Directors and all other staff can elect the further restriction).

Expected volatility has been based on an evaluation of the historical volatility of the Company's share price since listing. The expected forfeiture rate has been based on historical experience and general employee behaviour. On an annual basis, assumptions are adjusted with the availability of objective evidence. Where these result in changes in the non-market conditions of the scheme, the cumulative impact is charged to profit and loss in the year the adjustment is made.

After 3 years from grant date the participant may elect to defer the vesting of the applicable tranche of shares by a further 24 months. This election will result in the award being increased by 33.3%. The only further vesting condition will be for the participant to remain in the Company's employment for these 24 months. Should the employee leave within the 24 month period, the shares vest immediately, however, the employee forfeits the matching shares.

12.1.2 SHARES AVAILABLE FOR UTILISATION IN TERMS OF THE CONDITIONAL SHARE PLAN

NUMBER OF SHARES	2026	2025
Maximum limit	20 000 000	20 000 000
Opening unissued shares	15 214 479	16 019 152
Shares issued	(392 593)	(804 673)
CLOSING UNISSUED SHARES	14 821 886	15 214 479





Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

12. SHARE-BASED PAYMENT RESERVE (CONTINUED)

12.1 CONDITIONAL SHARE PLAN (CONTINUED)

12.1.3 NUMBER OF SHARES ALLOCATED TO DIRECTORS IN TERMS OF THE AWARD SCHEME

2026	OPENING BALANCE	GRANTED	LAPSED	VESTED	CLOSING BALANCE	IFRS 2 CHARGE R'000	FAIR VALUE OF SHARES GRANTED R'000
Andrea Taverna-Turisan	3 287 315	776 494	(411 410)	(137 129)	3 515 270	(5 605)	14 512
Gerhard Riaan Gous	2 365 485	558 750	(296 043)	(98 676)	2 529 516	(4 033)	10 442
Laila Razack	1 922 126	454 024	(240 557)	(80 181)	2 055 412	(3 277)	8 485
	7 574 926	1 789 268	(948 010)	(315 986)	8 100 198	(12 915)	33 439

2025	OPENING BALANCE	GRANTED	LAPSED	VESTED	CLOSING BALANCE	IFRS 2 CHARGE R'000	FAIR VALUE OF SHARES GRANTED R'000
Andrea Taverna-Turisan	2 922 373	993 989	(314 524)	(314 523)	3 287 315	2 512	13 821
Gerhard Riaan Gous	2 102 881	715 253	(226 324)	(226 324)	2 365 485	1 807	9 945
Laila Razack	1 708 741	581 195	(183 905)	(183 905)	1 922 126	1 469	8 081
	6 733 995	2 290 437	(1 032 773)	(416 733)	7 574 926	5 788	31 847





Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

13. TRADE AND OTHER PAYABLES

ACCOUNTING POLICY

Trade and other payables are classified as financial liabilities where they meet the definition of a financial liability. These are initially measured at fair value and are subsequently measured at amortised cost using the effective interest method. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after year end.

Lease liabilities are initially measured at the present value of the future lease payments discounted using the Company's incremental borrowing rate. Lease payments included in the measurement of the lease liability comprise fixed payments and variable payments dependent on an index or a rate, initially measured using the index or rate as at the lease commencement date. It is remeasured when there is a change in the future lease cash flows arising from a change in the Company's assessment of whether it will exercise an extension or termination option or where variable payments become fixed.

RENTAL GUARANTEES

Each sale agreement is analysed separately and an assessment is made on the fact pattern of each agreement to determine if any guarantees issued fall within the scope of IFRS 15 or IFRS 9. Rental guarantees which are related to the performance and quality of the property being sold and is contingent on the occurrence or non-occurrence of a future event, sellers apply the variable consideration guidance in IFRS 15. The rental guarantees are dependent on the occurrence or non-occurrence of a vacancy or lower rental achieved at a potential future date at the sold property, these therefore fall within the scope of IFRS 15. An estimated rental guarantee has been recognised as a liability taking into account the probability of a variable consideration to be paid at a future date. This amount reduces the net profit on sale (or increases the net loss on sale) recognised in net other gains and losses. Any subsequent changes in the rental guarantee will be adjusted against profit/loss on sale.

CRITICAL ESTIMATES AND JUDGEMENTS

MEASUREMENT OF LEASE LIABILITY

The Company pays land rental in Waterfall, Gauteng when the buildings are subleased. The Company looks to the lease term and lease payments of the underlying sub-lease agreement, in calculating the right-of-use asset and lease liability of the head-lease agreement, as this portion has been determined to be in substance fixed.

MEASUREMENT OF RENTAL GUARANTEES

Property disposal agreements include provision for rental guarantees due to the purchaser. This provision ensures that the purchaser is guaranteed a fixed rental in the event that the tenant vacates or a specified rent and/or escalation is not achieved on renewal of the lease. Equites considers the likelihood of tenant vacancies as well as the best estimate of rent and escalations to be achieved upon renewal to determine the rental guarantee obligation at each reporting date.

R'000	2026	2025
Trade payables and accruals	106 403	76 622
Rent received in advance	17 792	32 140
Intercompany current accounts	218 058	748 663
Tenant deposits	22 439	14 263
Shareholders for dividends	105	89
Lease liabilities	15 520	19 383
IFRS 2 liability	36 987	18 224
Rental guarantees	5 439	9 788
VAT payable	—	2 214
Other payables	4 897	3 413
TRADE AND OTHER PAYABLES	427 640	924 799
Current	367 883	872 588
Non-current	59 757	52 211

CLASSIFICATION OF TRADE AND OTHER PAYABLES

The Company's trade and other payables have been classified as follows:

Financial instruments at amortised cost	367 422	862 433
Non-financial instruments	60 218	62 366
TRADE AND OTHER PAYABLES	427 640	924 799

Refer to [note 5.3](#) for liquidity risk disclosure for trade and other payables.

The fair value of trade and other payables approximates the carrying amounts.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

14. PROPERTY, PLANT AND EQUIPMENT

ACCOUNTING POLICY

Property, plant and equipment are tangible assets held by the Company for administrative and operational purposes and are expected to be used during more than one period. All property, plant and equipment are stated at historical cost less accumulated depreciation and accumulated impairment. The historical cost includes all expenditure that is directly attributable to the acquisition of the asset and is depreciated on a straight-line basis, from the date it is available for use, at rates appropriate to the various classes of assets involved, taking into account the estimated useful life and residual values of the individual items, as follows:

• Computer equipment	3 years
• Furniture and fittings	6 years
• Equipment	6 years
• Solar	5 years

The Company determines the estimated useful lives, residual values and the related depreciation charges at acquisition and these are reviewed at each statement of financial position date. If appropriate, adjustments are made and accounted for prospectively as a change in estimate.

Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Company and the cost of the item can be measured reliably. All other costs, including repairs and maintenance, are expensed as incurred.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal or scrapping of property, plant and equipment, being the difference between the net proceeds on disposal or scrapping and the carrying amount, are recognised in profit or loss.

IMPAIRMENT OF NON-FINANCIAL ASSETS

The carrying amounts of the Company's non-financial assets are reviewed for indicators of impairment at each reporting date. Where such indicators exist, the assets recoverable amount is estimated.

Where the carrying value of an asset exceeds its estimated recoverable amount, the carrying value is impaired and the asset is written down to its recoverable amount. The recoverable amount is calculated as the higher of the asset's fair value less cost to sell and the value in use. These calculations are prepared based on management's assumptions and estimates such as forecasted cash flows, management budgets and financial outlook. For the purpose of impairment testing the assets are allocated to cash-generating units. Cash-generating units are the lowest levels for which separately identifiable cash flows can be determined.

The Company assesses at each reporting date whether there is any indication that an impairment loss recognised in prior periods for an asset has decreased or no longer exists and recognises a reversal of an impairment loss. Impairment losses are only reversed to the extent that they do not increase an asset's carrying value above the carrying value it would have been if no impairment loss had been recognised.

Impairment losses and reversals are recognised in profit or loss.

LEASES

The Company is a party to a lease in respect of its Cape Town and Gauteng offices.

The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is measured at the initial amount of the lease liability adjusted for any lease payments made in advance, plus any initial direct costs incurred less any lease incentives received. A right-of-use asset in relation to leased offices is recognised as property, plant and equipment and depreciated on a straight-line basis over the lease term.

It is remeasured when there is a change in the future lease cash flows arising from a change in the Company's assessment of whether it will exercise an extension or termination option or where variable payments become fixed. Where the finance lease liability is remeasured, a corresponding adjustment is made to the carrying amount of the underlying right-of-use asset.

CRITICAL ESTIMATES AND JUDGEMENTS

LEASE TERM

Where the Company recognises a lease liability and corresponding right-of-use asset, consideration is given around the extension options of the lease, in terms of IFRS 16 Leases. An evaluation of the facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option on the remaining lease term, is performed. These include the an assessment of the potential business disruption by not extending and the unrecoverable costs or penalties incurred to extend or terminate the contract. The Company concluded that the lease liabilities and right of use assets are appropriately accounted for based on the lease term and that any significant changes or circumstances in the current year to this assessment have been accounted for.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

14. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

R'000	EQUIPMENT	FURNITURE AND FITTINGS	COMPUTER EQUIPMENT	SOLAR	RIGHT OF USE ASSET	TOTAL
Cost	670	17 664	3 126	—	12 722	34 182
Accumulated depreciation	(316)	(10 372)	(1 659)	—	(8 432)	(20 779)
CARRYING VALUE AT 29 FEBRUARY 2024	354	7 292	1 467	—	4 290	13 403
FOR THE YEAR ENDED 28 FEBRUARY 2025						
Opening carrying value	354	7 292	1 467	—	4 290	13 403
Additions	0	51	573	6 145	—	6 769
Disposals	(16)	(762)	(148)	—	—	—926
Right-of-use asset remeasurement	—	—	—	—	17 094	17 094
Depreciation charge for the year	(129)	(1 923)	(524)	(933)	(3 776)	(7 285)
CLOSING CARRYING VALUE	209	4 658	1 368	5 212	17 608	29 055
Cost	655	16 996	3 551	6 145	29 484	56 831
Accumulated depreciation	(446)	(12 338)	(2 183)	(933)	(11 876)	(27 776)
CARRYING VALUE AT 28 FEBRUARY 2025	209	4 658	1 368	5 212	17 608	29 055
FOR THE YEAR ENDED 28 FEBRUARY 2026						
Opening carrying value	209	4 658	1 368	5 212	17 608	29 055
Additions	—	—	262	—	—	262
Disposals	—	—	(10)	—	—	(10)
Depreciation charge for the year	(135)	(1 949)	(597)	(1 229)	(3 814)	(7 724)
CLOSING CARRYING VALUE	74	2 709	1 023	3 983	13 794	21 583
Cost	655	16 996	3 803	6 145	29 484	57 083
Accumulated depreciation	(581)	(14 287)	(2 780)	(2 162)	(15 690)	(35 500)
CARRYING VALUE AT 28 FEBRUARY 2026	74	2 709	1 023	3 983	13 794	21 583



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

15. GROSS PROPERTY REVENUE

ACCOUNTING POLICY

Revenue comprises the following:

- Contractual rental income
- Tenant recoveries
- Inter-company property management, asset management and development fees
- Revenue from electricity generation
- Dividend received from subsidiaries

Contractual rental income from operating leases are recognised on a straight-line basis over the term of the lease taking into account fixed escalations. Lease incentives are recognised, on a straight-line basis, as a reduction of rental income over the lease period.

Tenant recoveries are levied monthly in arrears as a result of the Company recovering costs of providing the tenant with services as determined by the lease agreement. The Company negotiates the terms of the service, manages the relationship with the suppliers and is liable for payment (even if the property is vacant or the expense is not recovered from the tenant), and therefore maintains primary responsibility for providing the service. The Company acts as a principal on its own account when recovering operating costs from tenants. For certain service contracts, revenue is recognised based on the actual service provided to the end of the reporting period as a proportion of the total services to be provided because the customer receives and uses the benefits simultaneously. These recoveries are variable and dependent on the cost/actual usage of the service provided.

Revenue is measured at the transaction price agreed under the contract. For arrangements that include deferred payment terms that exceed 12 months, the Company adjusts the transaction price for the financing component, with the impact recognised as interest income using the effective interest rate method over the period of the financing.

Intercompany property management and asset management fees are levied to subsidiaries to cover the head office costs of managing the operations of the subsidiaries and the underlying assets within those subsidiaries. The fee is recognised monthly either as a percentage of receipts or as a percentage of the asset value as per management agreements with the subsidiaries. The amount is levied monthly in advance and as this is in relation to ongoing services, it is recognised in each period respectively

Development fees are recognised as a fixed percentage of the total development cost, unless negotiated otherwise, and is recognised over the period of the development.

Rental income received in advance is recognised as a current liability as part of trade and other payables in the statement of financial position.

Dividend income from subsidiaries is recognised when the right to receive payment is established.

Revenue from electricity generation is recognised as consumed by customers at the tariffs agreed with the customer in terms of the power purchase agreements concluded.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

15. GROSS PROPERTY REVENUE (CONTINUED)

R'000	NOTE	2026	2025
Contractual rental income		474 062	432 326
Tenant recoveries	15.2	137 394	128 929
PROPERTY REVENUE AND TENANT RECOVERIES		611 456	561 255
Straight-line lease rental adjustment		101 522	37 265
Dividend received from subsidiaries	23.2.1	956 758	1 146 792
Revenue from electricity generation		1 769	757
Intercompany asset management fees	23.2.2	44 964	36 544
Intercompany property management fees	23.2.2	13 526	14 633
Intercompany development management fees	23.2.2	5 789	4 595
Other income		1 039	179
GROSS PROPERTY REVENUE		1 736 823	1 802 020
15.1 TENANTS COMPRISING >10% OF PROPERTY REVENUE AND TENANT RECOVERIES			
Shoprite Checkers Proprietary Limited		26.6%	14.4%
Foschini Retail Group Proprietary Limited		21.3%	22.9%
Refer to note 27 for revenue disaggregation by sector, location and tenant grade.			
15.2 TENANT RECOVERIES			
IFRS 16 variable recoveries		124 647	106 636
IFRS 15 tenant recoveries ¹		12 747	22 293
		137 394	128 929
PROPERTY OPERATING AND MANAGEMENT EXPENSES			
Recoverable expenses		136 944	126 104
Non-recoverable expenses		5 920	12 744
		142 864	138 848

¹ The frequency and value of these recoveries are not detailed in the lease agreements as they are based on actual expenses incurred and therefore fall within the scope of IFRS 15.

16. OTHER NET (LOSSES)/GAINS

R'000	2026	2025
Income from foreign exchange derivative instruments	4 370	1 622
Fair value adjustment on foreign exchange derivative instruments	2 293	4 432
Fair value adjustment on financial guarantee	—	(99)
Insurance recoveries	—	357
Loss on sale of investment property	(5 102)	(1 611)
Loss on sale of property, plant and equipment	—	(1)
Loss on sale of investment in subsidiaries	—	(33)
Foreign exchange (loss)/gain	(138 103)	29 017
Sundry income	166	229
	(136 376)	33 913





Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

17. EXPENSES BY NATURE

R'000	NOTE	2026	2025
COMPOSITION OF PROPERTY MANAGEMENT AND ADMINISTRATIVE EXPENSES			
Employee benefits	17.1	101 345	118 433
Operating and administrative expenses	17.2	171 203	172 850
TOTAL PROPERTY MANAGEMENT AND ADMINISTRATIVE EXPENSES		272 548	291 283

ACCOUNTING POLICY

LOW VALUE LEASED ASSETS

Printing rentals for office printers is recognised in other operating expenses and has been separately disclosed below. The Company has applied the exemption in IFRS 16 Leases for these assets and a lease liability and right-of-use asset has not been recognised for these assets.

SHORT-TERM EMPLOYEE BENEFITS

Wages, salaries, paid annual leave and other costs of short-term employee benefits are recognised as employee benefit expense in profit or loss in the period in which the services are rendered.

SHORT-TERM BONUSES

The Company recognises an expense in profit or loss and accrues for short-term bonuses in the statement of financial position where such payments can be contractually determined or where past practice has created a constructive obligation.

R'000	NOTE	2026	2025
17.1 EMPLOYEE BENEFITS			
Salaries and wages		55 246	54 530
Executive director and public officer's emoluments	17.4	38 927	36 169
Non-executive directors' emoluments	17.3	7 272	5 871
Share-based payment expense		9 735	33 411
Capitalised to investment property		(9 835)	(11 548)
TOTAL		101 345	118 433

R'000	NOTE	2026	2025
17.2 OPERATING AND ADMINISTRATIVE EXPENSES			
Property taxes and utility expenses		113 148	101 223
Property operational costs		30 437	31 590
Audit fees – Pricewaterhouse Coopers Inc.		1 793	1 088
Non-audit fees – Pricewaterhouse Coopers Inc.		510	490
Bad debts		123	4 649
Depreciation of property, plant and equipment (non-distributable)		6 495	6 042
Donations		2 086	2 100
Loss allowance		(13 582)	1 385
Professional, secretarial and other administrative expenses		29 096	20 698
Rental expense ¹		1 031	172
Overheads capitalised to investment property		(12 035)	(8 369)
Other operating expenses		12 101	11 782
TOTAL		171 203	172 850

¹ Rental expense relates to leases of low-value assets and short term leases that are not shown as a right-of-use asset, under IFRS 16 Leases.

17.3 NON-EXECUTIVE DIRECTORS' EMOLUMENTS

The following fees were paid to non-executive directors for their services as directors:

DIRECTOR

Leon Campher	1 147	1 086
André Gouws	475	485
Doug Murray	811	702
Eunice Cross	763	657
Fulvio Tonelli	998	858
Keabetswe Ntuli	946	704
Mustaq Brey	961	723
Ndabezinhle Mkhize	780	656
Cindy Robertson	391	—
TOTAL	7 272	5 871



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

17. EXPENSES BY NATURE (CONTINUED)

17.4 EXECUTIVE DIRECTOR AND PUBLIC OFFICER'S EMOLUMENTS REMUNERATION PAID TO EXECUTIVE DIRECTORS

R'000	2026						
	SALARY	BENEFITS	PERFOR- MANCE BONUS	TOTAL	DIVIDEND EQUIVA- LENT ON EOS	VALUE OF EQUITY- SETTLED SHARE- BASED PAYMENT INCENTIVES GRANTED ¹	TOTAL
Andrea Taverna-Turisan	6 097	63	7 481	13 641	3 121	5 442	22 204
Gerhard Riaan Gous	4 662	49	5 118	9 829	2 386	3 916	16 131
Laila Razack	3 788	47	4 176	8 011	1 939	3 182	13 132
	14 547	159	16 775	31 481	7 446	12 540	51 467

R'000	2025						
	SALARY	BENEFITS	PERFOR- MANCE BONUS	TOTAL	DIVIDEND EQUIVA- LENT ON EOS	VALUE OF EQUITY- SETTLED SHARE- BASED PAYMENT INCENTIVES GRANTED ¹	TOTAL
Andrea Taverna-Turisan	5 835	113	6 472	12 420	3 100	5 183	20 703
Gerhard Riaan Gous	4 461	104	4 477	9 042	2 370	3 729	15 141
Laila Razack	3 625	79	3 607	7 311	1 926	3 030	12 267
	13 921	296	14 556	28 773	7 396	11 942	48 111

¹ Further detail relating to share based payments is included in note 12.1

18. FINANCE COST

ACCOUNTING POLICY

Interest expense is recognised using the effective interest method and expensed in the statement of profit or loss and other comprehensive income.

R'000	2026	2025
Interest expense on borrowings	673 795	711 205
Interest on lease liabilities	1 505	1 793
Finance cost relating to interest rate derivatives	17 256	6 796
Fair value movement on interest rate derivatives	88 030	93 831
Interest on utility accounts and other	814	256
Borrowing cost capitalised to investment property ¹	(88 034)	(101 453)
FINANCE COST	693 366	712 428

¹ The capitalisation rate applied during the year was 8.9% (2024: 9.0%).

RECONCILIATION OF FINANCE COST TO FINANCE COST PAID

Interest accrued opening balance	52 541	67 506
Finance cost	693 366	712 428
Fair value movement on interest rate derivatives	(88 030)	(93 831)
Interest on lease liabilities	(1 505)	(1 793)
Loan fees amortised	(2 960)	(3 164)
Loan fees paid	1 251	4 813
Interest accrued closing balance	(67 913)	(52 541)
FINANCE COST PAID	586 750	633 418



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

19. FINANCE INCOME

ACCOUNTING POLICY

Finance income comprises interest earned on positive bank balances, interest-bearing investments and on overdue accounts. Interest is recognised in profit or loss using the effective interest rate method.

R'000	2026	2025
Interest received from tenants	126	98
Interest received on financial assets at fair value	115 139	126 235
Interest received on loans advanced	24 538	26 511
Interest received on call, investment and current account balances	180 530	55 155
FINANCE INCOME	320 333	207 999
RECONCILIATION OF FINANCE INCOME TO FINANCE INCOME RECEIVED		
Interest accrued opening balance	10 009	12 860
Finance income	320 333	207 999
Interest accrued closing balance	(2 837)	(10 009)
FINANCE INCOME RECEIVED	327 505	210 850

20. CURRENT TAX EXPENSE

ACCOUNTING POLICY

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the statement of financial position date. Deferred income tax is recognised, using the liability method, for calculated income tax losses and temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred income tax is not recognised if it arises from the initial recognition of an asset or liability in a transaction other than a business combination that, at the time of the transaction, affects neither accounting nor taxable profit nor loss.

Deferred income tax is determined using tax rates and laws that have been enacted or substantially enacted by the statement of financial position date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which temporary differences can be utilised.

SOUTH AFRICAN TAX LAWS

The income tax expense for the period comprises current and deferred income tax and is recognised in profit or loss except to the extent that it relates to items recognised in other comprehensive income or directly in equity, in which case it will also be recognised in other comprehensive income or directly in equity as applicable. The Company is a REIT as defined by section 25BB. The Company applies judgement in determining what income sources constitute "rental income" as defined by section 25BB of the Income Tax Act. The Company is subject to tax at 27% and any remaining taxable income, after deducting the section 25BB qualifying distribution, is subject to tax at the full corporate rate.

Deferred tax is not recognised on the fair value adjustment of investment properties as capital gains tax is not applicable in terms of section 25BB. In addition, section 25BB does not allow for allowances relating to immovable property. Allowances granted in prior years, before becoming a REIT must be recouped in the year the immovable property is sold. A deferred tax liability will be recognised on the recoupment to the extent it will result in a tax liability after the qualifying distribution deduction.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

20. CURRENT TAX EXPENSE (CONTINUED)

R'000	2026	2025
Current tax		
Prior year	—	849
Current year	—	—
TOTAL	—	849
RECONCILIATION BETWEEN APPLICABLE TAX RATE AND EFFECTIVE TAX RATE		
Profit before tax	1 240 755	1 158 978
Income tax at 27% (2025: 27%)	335 004	312 924
Amounts not subject to tax:		
Fair value adjustment – investment property	(77 550)	(32 316)
Fair value adjustment – derivative financial instruments	23 149	24 138
Straight-lining of leases adjustment	(27 411)	(10 062)
Loss on sale of non-current assets	1 377	444
IFRS 2 adjustments	2 628	9 021
Loss allowance	(3 667)	—
Payroll provisions	7 875	—
Depreciation	2 086	1 883
Amounts not included in profit before tax:		
Interest capitalised	(23 769)	(27 392)
Overheads capitalised	—	(2 260)
Salaries capitalised	—	(3 118)
Amounts received in advance	4 804	—
Donations	563	567
Items of a capital nature	191	134
Wear and tear allowances	(724)	(696)
Other	25 294	3 937
Qualifying s25BB REIT distribution	(269 850)	(276 355)
TAX EXPENSE	—	849
Effective tax rate	0.0%	0.1%

21. NOTES TO THE STATEMENT OF CASH FLOWS

R'000	NOTE	2026	2025
21.1 CASH GENERATED FROM OPERATIONS			
Profit before tax		1 240 755	1 158 978
Adjusted for:			
Finance cost		693 366	712 428
Finance income		(320 334)	(207 999)
Dividend income		(956 758)	(1 146 792)
Foreign exchange differences		138 103	(29 017)
Straight-lining of leases adjustment		(101 522)	(37 265)
Fair value adjustments – investment property		(287 224)	(119 690)
Fair value adjustments – derivative instruments		(2 293)	(4 432)
Fair value adjustments – guarantee		—	99
Loss on sale of non-current assets		5 102	1 645
Loss allowance		(13 582)	1 385
Depreciation and amortisation		11 273	11 003
Share based payment charge		9 735	33 411
Working capital movements:			
(Increase)/decrease in trade and other receivables		(40 567)	34 086
Decrease/(increase) in derivative instruments		2 113	(27 018)
(Decrease)/increase in trade and other payables		(644 717)	373 512
CASH GENERATED FROM OPERATIONS		(266 550)	754 333
21.2 CASH PAID IN RESPECT OF INVESTMENT PROPERTY DEVELOPMENTS			
Opening construction and development cost accrued		(21 674)	(13 093)
Improvements and extensions	3.1 & 3.2	(70 658)	(33 544)
Construction and development costs	3.1	(339 692)	(447 390)
Letting commission capitalised	3.1 & 3.2	(7 272)	(2 853)
Lease incentive granted	3.1 & 3.2	(5 466)	—
Finance cost paid capitalised to investment properties	18	88 034	101 453
Closing construction and development cost accrued		10 254	21 674
TOTAL		(346 474)	(373 753)



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

21. NOTES TO THE STATEMENT OF CASH FLOWS (CONTINUED)

R'000	NOTE	2026	2025
21.3 INVESTMENTS AND DIVESTMENTS OF CURRENT FINANCIAL ASSETS			
Investments		(8 268 338)	(2 873 000)
Divestments		8 268 338	2 873 000
NET MOVEMENT		—	—
21.4 DIVIDENDS DISTRIBUTED TO SHAREHOLDERS			
Final dividend		(556 605)	(513 300)
Interim dividend		(570 265)	(538 394)
DIVIDEND PAID		(1 126 870)	(1 051 694)
21.5 PROCEEDS ON DISPOSAL OF INVESTMENT PROPERTY			
Held-for-sale property disposed	3.2	—	996 168
Loans advanced to the purchaser	10	—	(29 500)
Loss on disposal	16	(5 102)	(1 644)
Rental guarantees (remeasured)/issued	13	(505)	3 249
Deferred consideration		—	(2 253)
NET (COSTS PAID)/PROCEEDS ON DISPOSAL OF INVESTMENT PROPERTY		(5 607)	966 020
21.6 TAX PAID			
Opening tax payable		—	(11 076)
Tax expense		—	(849)
TAX PAID		—	(11 925)
22. CAPITAL COMMITMENTS			
Authorised and contracted for acquisition or construction of new industrial properties		299 864	328 763
Authorised but not contracted		127 600	—
		427 464	328 763

23. RELATED PARTIES

Related party relationships exist between the Company, its subsidiaries, directors, and key management of the Company.

Subsidiaries: Refer to the Directors' Report for a list of direct and indirectly held subsidiaries and structured entities.

Directors: Refer to the Directors' Report for a list of directors.

R'000	NOTE	2026	2025
23.1 RELATED PARTY BALANCES			
23.1.1 LOANS RECEIVABLE			
Ilanga Lakusasa Proprietary Limited	10	144 550	146 773
23.1.2 TRADE AND OTHER RECEIVABLES/ (TRADE AND OTHER PAYABLES)			
Chamber Lane Properties 3 Proprietary Limited		492	(190)
EA Waterfall Logistics JV Proprietary Limited		56	—
Equites Atlantic Hills Proprietary Limited		248	—
Equites International Limited		(149 785)	(684 669)
Equites Investments 1 Proprietary Limited		52	20
Equites Property Management Services Proprietary Limited		59	73
Equites Tridevco Proprietary Limited		40	—
Equites UK SPV 4 Limited		2 181	(495)
Equites UK SPV 5 Limited		—	(179)
Equites UK SPV 6 Limited		1 202	(279)
Equites UK SPV 9 Limited		601	(137)
Equites UK SPV 10 Limited		3 769	(864)
Equites UK SPV 11 Limited		1 482	(338)
Equites UK SPV 12 Limited		585	(134)
Executive directors	13	(42 250)	(11 634)
Non-executive directors		(172)	—
Galt Property Two Proprietary Limited		116	(100)
Ilanga Lakusasa Proprietary Limited		1 137	—
Kovacs Investments 715 Proprietary Limited		(50)	—
Plumbago Investment Platform Proprietary Limited		(65 253)	(57 683)
Retail Logistics Fund (RF) Proprietary Limited		(2 819)	(5 542)
Swish Property Seven Proprietary Limited		94	—
		(248 215)	(762 151)



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

23. RELATED PARTIES (CONTINUED)

R'000	NOTE	2026	2025
23.1 RELATED PARTY BALANCES (CONTINUED)			
23.1.3 LOANS TO/(FROM) SUBSIDIARIES			
Loans to subsidiaries	8.2	2 927 840	2 920 340
Loans from subsidiaries	8.2	(129 390)	(80 000)
		2 798 450	2 840 340
23.2 RELATED PARTY TRANSACTIONS			
23.2.1 DIVIDENDS RECEIVED			
Dormell Properties 711 Proprietary Limited		10 838	15 727
EA Waterfall Logistics JV Proprietary Limited		83 774	151 850
Equites Atlantic Hills Proprietary Limited		48 695	56 984
Equites International Limited		290 039	404 023
Equites Investments 1 Proprietary Limited		261 160	208 706
Galt Property One Proprietary Limited		—	2 344
Galt Property Two Proprietary Limited		19 806	51 822
Kovacs Investments 715 Proprietary Limited		2 620	20 211
Plumbago Investment Platform Proprietary Limited		60 322	53 382
Retail Logistics Fund (RF) Proprietary Limited		176 101	166 352
Swish Property Seven Proprietary Limited		3 403	15 391
	15	956 758	1 146 792

R'000	NOTE	2026	2025
23.2.2 FEES RECEIVED			
Chamber Lane Properties 3 Proprietary Limited		5 187	5 057
Dormell Properties 711 Proprietary Limited		316	300
EA Waterfall Logistics JV Proprietary Limited		2 374	3 098
Equites Atlantic Hills Proprietary Limited		1 196	1 169
Equites Investments 1 Proprietary Limited		554	614
Equites Peterborough Gateway Limited		—	3 765
Equites Property Management Services Proprietary Limited		291	144
Equites Tridevco Proprietary Limited		2 100	—
Equites UK SPV 4 Limited		8 404	5 620
Equites UK SPV 5 Limited		1 236	2 125
Equites UK SPV 6 Limited		4 636	3 147
Equites UK SPV 9 Limited		2 330	1 552
Equites UK SPV 10 Limited		14 524	9 787
Equites UK SPV 11 Limited		5 713	3 721
Equites UK SPV 12 Limited		2 256	1 507
Galt Property One Proprietary Limited		—	3
Galt Property Two Proprietary Limited		681	996
Kovacs Investments 715 Proprietary Limited		431	432
Plumbago Logistics Platform Proprietary Limited		7 562	7 288
Retail Logistics Fund (RF) Proprietary Limited		4 414	5 260
Swish Property Seven Proprietary Limited		74	187
		64 279	55 772



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

23. RELATED PARTIES (CONTINUED)

R'000	NOTE	2026	2025
23.2 RELATED PARTY TRANSACTIONS (CONTINUED)			
23.2.3 RENT PAID			
Chamber Lane Properties 3 Proprietary Limited		564	527
		564	527
23.2.4 INTEREST RECEIVED			
Equites Tridevco Proprietary Limited	8	260	—
Ilanga Lakusasa Proprietary Limited	10	15 346	16 592
		15 606	16 592
23.2.5 DONATIONS PAID			
The Michel Lanfranchi Foundation NPC		2 000	2 003
23.2.6 DIRECTORS REMUNERATION			
Executive directors	17.4	38 927	36 169
Non-executive directors	17.3	7 272	5 871
		46 199	42 040
23.2.7 DIVIDENDS PAID			
Directors	23.3	29 089	27 984
23.2.8 FEES PAID			
Insurance premiums paid to Commsure Financial Solutions (indirectly owned by Cindy Robertson's spouse)		9 334	—





Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

23. RELATED PARTIES (CONTINUED)

23.3 DIRECTORS' INTEREST IN ORDINARY SHARES

BENEFICIALLY HELD AS AT 28 FEBRUARY 2026	NUMBER OF SHARES					
DIRECTORS	DIRECTLY	INDIRECTLY	ASSOCIATES	TOTAL	%	PLEDGED
MA Brey	—	112 500	10 000	122 500	0.0%	—
GR Gous ¹	1 103 781	2 020 648	300 000	3 424 429	0.4%	2 782 993
AJ Gouws	15 757	7 711 955	—	7 727 712	0.9%	—
AD Murray	—	250 053	—	250 053	0.0%	—
K Ntuli	3 602	—	—	3 602	0.0%	—
L Razack ¹	368 248	—	—	368 248	0.0%	—
C Robertson	—	—	230 500	230 500	0.0%	—
A Taverna-Turisan ¹	567 037	9 004 000	—	9 571 037	1.1%	7 000 000
BENEFICIAL SHAREHOLDING	2 058 425	19 099 156	540 500	21 698 081	2.5%	9 782 993

BENEFICIALLY HELD AS AT 28 FEBRUARY 2025	NUMBER OF SHARES					
DIRECTORS	DIRECTLY	INDIRECTLY	ASSOCIATES	TOTAL	%	PLEDGED
MA Brey	—	112 500	10 000	122 500	0.0%	—
GR Gous ¹	1 075 138	2 020 648	300 000	3 395 786	0.4%	2 782 993
AJ Gouws	15 757	7 711 955	—	7 727 712	0.9%	—
AD Murray	—	250 053	—	250 053	0.0%	—
K Ntuli	3 602	—	—	3 602	0.0%	—
L Razack ¹	296 468	—	—	296 468	0.0%	—
A. Taverna-Turisan ¹	215 671	9 004 000	—	9 219 671	1.1%	7 000 000
BENEFICIAL SHAREHOLDING	1 606 636	19 099 156	310 000	21 015 792	2.5%	9 782 993

¹ The conditional shares awarded, but not yet issued, to the executive directors during the year, as set out in note 14 to the consolidated annual financial statements, have not been included in the table above.

There have been no changes to the directors' interest in the Company's shares between the end of the financial year and the approval of the financial statements.

24. SUBSEQUENT EVENTS

24.1 DIVIDENDS DECLARED AFTER YEAR END

A dividend of 71.97 cents per share was declared on 13 May 2026.

24.2 DISPOSAL OF WATERFALL 8B

On 22 April 2026, the Waterfall 8B property was sold to West Property Proprietary Limited for a consideration of R117 million. The property was recognised as held-for-sale at year-end (note 3.2).

25. GOING CONCERN

Based on an assessment of the Company's current cashflow forecast, its operational environment, geographical diversity and industry trends, the Company believes it will remain both solvent and liquid for the next 12 months, and intends to pay out at least 75% of distributable income. The Directors believe, based on their assessment of the Company's financial performance and financial position, there is no reasonable material uncertainties about the entity's ability to continue as a going concern for the next 12 months. The Directors remain committed to maintaining its REIT status over the next financial period.

26. CONSOLIDATED ANNUAL FINANCIAL STATEMENTS

The Company has prepared consolidated annual financial statements in a separate set of financial statements. The separate annual financial statements of Equites Property Fund Limited, together with the consolidated annual financial statements, form the annual financial statements of Equites Property Fund Limited. Both of these sets are available on the Company's website.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

27. PROPERTY ANALYSIS

27.1 PROPERTY SCHEDULE

PROPERTY NAME	LOCATION	GROSS LETTABLE AREA (M ²)	AVERAGE RENTAL PER M ² (RAND)	VALUE (R'000)	DATE OF LAST EXTERNAL VALUATION
LOGISTICS PROPERTIES					
Equites Park – Riverfields II-B	Witfontein, Gauteng	93 512	Note 1	1 574 000	28 February 2026
Equites Park – Riverfields II-A	Witfontein, Gauteng	51 429	Note 1	782 622	28 February 2026
Equites Park – Riverfields I-A	Witfontein, Gauteng	22 396	Note 1	403 506	28 February 2026
Equites Park – Jet Park I-A	Jet Park, Gauteng	28 890	Note 1	401 797	28 February 2026
Equites Park – Lords View I-A ¹	Lords View, Gauteng	29 771	Note 1	370 575	28 February 2026
Germiston I-A ²	Germiston, Gauteng	26 278	Note 1	360 685	28 February 2026
Longmeadow I-A ²	Longmeadow, Gauteng	24 592	Note 1	306 290	28 February 2026
Equites Park – Riverfields I-B	Witfontein, Gauteng	17 894	Note 1	257 850	28 February 2026
Equites Park – Jet Park I-B	Jet Park, Gauteng	16 721	Note 1	245 130	28 February 2026
Parow Industria I-A	Parow, Western Cape	17 646	Note 1	293 270	28 February 2026
Equites Park – Lords View I-D ¹	Lords View, Gauteng	11 243	Note 1	161 429	28 February 2026
Equites Park – Jet Park I-D	Jet Park, Gauteng	10 597	Note 1	168 732	28 February 2026
Equites Park – Lords View I-C ¹	Lords View, Gauteng	9 005	Note 1	116 250	28 February 2026
Epping Industria I-A	Epping, Western Cape	8 177	Note 1	103 951	28 February 2026
Equites Park – Lords View I-E ¹	Lords View, Gauteng	7 023	Note 1	86 639	28 February 2026
Equites Park – Lords View I-B ¹	Lords View, Gauteng	8 525	Note 1	96 856	28 February 2026
Equites Park – Riverfields I-C	Witfontein, Gauteng	24 804	Note 1	342 150	28 February 2026
Perseverance I-A	Gqeberha, Eastern Cape	15 784	Note 1	103 500	28 February 2026
Equites Park – Jet Park I-F	Jet Park, Gauteng	4 929	Note 1	78 490	28 February 2026
TOTAL LOGISTICS PROPERTIES		429 216	98.0	6 253 722	

¹ 75% ownership

² 65% ownership

Note 1: The rental per m² for single-tenanted buildings has not been disclosed.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

27. PROPERTY ANALYSIS (CONTINUED)

27.1 PROPERTY SCHEDULE (CONTINUED)

PROPERTY NAME	LOCATION	GROSS LETTABLE AREA (M ²)	AVERAGE RENTAL PER M ² (RAND)	VALUE (R'000)	DATE OF LAST EXTERNAL VALUATION
NON-LOGISTICS PROPERTIES					
INDUSTRIAL					
Equites Park – Riverfields II Land	Witfontein, Gauteng	—	Note 1	109 181	28 February 2026
TOTAL NON-LOGISTIC PROPERTIES		—		109 181	
TOTAL INCOME EARNING PROPERTIES		429 216	98.0	6 362 903	
PROPERTIES UNDER DEVELOPMENT					
Equites Park – Jet Park I-E	Jet Park, Gauteng			81 133	
Equites Park – Jet Park I-C	Jet Park, Gauteng			76 531	
Equites Park – Lords View I-E ²	Lords View, Gauteng			24 870	
Equites Park – Riverfields III-A	Witfontein, Gauteng			308 581	
TOTAL PROPERTIES UNDER DEVELOPMENT				491 115	
VACANT LAND					
ZONED INDUSTRIAL LAND					
Gauteng	Lords View, Gauteng			177 479	
TOTAL ZONED INDUSTRIAL LAND				177 479	
TOTAL PROPERTIES, DEVELOPMENTS AND VACANT LAND				7 031 497	

¹ 75% ownership

² 65% ownership

Note 1: The rental per m² for single-tenanted buildings has not been disclosed.



Notes to the annual financial statements (continued)

Equites Property Fund Limited for the year ended 28 February 2026

27. PROPERTY ANALYSIS (CONTINUED)

27.2 TENANT PROFILE

	REVENUE (R'000)	REVENUE (%)	GROSS LETTABLE AREA (M ²)	GROSS LETTABLE AREA (%)	NUMBER OF TENANTS	NUMBER OF TENANTS (%)
A – Large nationals, large listed companies and government	602 613	98.6%	404 411	94.2%	20	95.2%
B – Smaller international and national tenants	8 843	1.4%	24 804	5.8%	1	4.8%
	611 456	100%	429 215	100%	21	100%

27.3 SECTORAL PROFILE (INCLUDING VACANCY PROFILE)

	REVENUE (R'000)	REVENUE (%)	GROSS LETTABLE AREA (M ²)	GROSS LETTABLE AREA %	VACANCY AREA (M ²)	VACANCY (%)
LOGISTICS	611 456	100%	429 215	100%	—	—

27.4 GEOGRAPHICAL PROFILE

	REVENUE (R'000)	REVENUE (%)	GROSS LETTABLE AREA (M ²)	GROSS LETTABLE AREA (%)
Gauteng	574 232	93.9%	387 608	90.3%
Western Cape	28 181	4.6%	25 823	6.0%
Eastern Cape	9 043	1.5%	15 784	3.7%
	611 456	100%	429 215	100%

27.5 LEASE EXPIRY PROFILE

LEASE EXPIRY PROFILE BASED ON GROSS LETTABLE AREA	LOGISTICS
Within one year	11.0%
Within two years	8.0%
Within three years	1.1%
Within four years	0.0%
Within five years	19.9%
Beyond five years	60.0%
	100%

LEASE EXPIRY PROFILE BASED ON REVENUE	LOGISTICS
Within one year	5.1%
Within two years	10.5%
Within three years	3.3%
Within four years	0.0%
Within five years	14.9%
Beyond five years	66.2%
	100%

27.6 WEIGHTED AVERAGE ESCALATIONS, LEASE EXPIRY AND INITIAL YIELD

SECTOR	YIELD (%) ¹	LEASE EXPIRY (YEARS) ²	ESCALATION (%) ³
SOUTH AFRICA – LOGISTICS	8.2%	13.2	6.4

¹ Based on property valuation

² Based on revenue

³ Based on gross lettable area



Appendices



Appendix 1

Equites Property Fund Limited and its subsidiaries for the year ended 28 February 2026

SHAREHOLDER ANALYSIS

SHAREHOLDER SPREAD	NUMBER OF SHAREHOLDER ACCOUNTS	% OF TOTAL SHAREHOLDER ACCOUNTS	NUMBER OF SHARES	% OF ISSUED SHARES
1 – 1 000	3 285	55.3%	391 642	0.1%
1 001 – 10 000	1 479	24.9%	5 965 007	0.7%
10 001 – 100 000	714	12.0%	22 707 180	2.6%
100 001 – 1 000 000	344	5.8%	119 878 228	13.8%
Over 1 000 000	123	2.0%	718 348 284	82.8%
TOTAL	5 945	100%	867 290 341	100%

SHAREHOLDER TYPES	NUMBER OF SHAREHOLDINGS	% OF TOTAL SHAREHOLDINGS	SHARES HELD	% HELD
Banks, Brokers & Nominees	16	0.3%	30 850 051	3.6%
Close Corporations	38	0.6%	788 825	0.1%
Collective Investment Schemes	269	4.5%	266 169 221	30.7%
Control Accounts and Unclaimed Shares	2	0.0%	10	0.0%
Insurance & Assurance Corporate Funds	6	0.1%	6 067 609	0.7%
Lending, Collateral & Pledged Accounts	10	0.2%	11 780 050	1.4%
Non-SA Custodians	60	1.0%	102 165 182	11.8%
NPO & Charity Funds	50	0.8%	3 539 613	0.4%
Organs of State & Public Entities	18	0.3%	21 574 858	2.5%
Pooled & Mutual Funds	92	1.6%	48 763 480	5.6%
Private Companies	194	3.3%	39 384 837	4.5%
Retail Individuals	4 623	77.8%	16 923 734	2.0%
Retirement Benefit Funds	184	3.1%	301 048 807	34.7%
Trusts & Investment Partnerships	383	6.4%	18 234 064	2.0%
TOTAL	5 945	100%	867 290 341	100%

SHAREHOLDER TYPE	NUMBER OF SHAREHOLDINGS	% OF TOTAL SHAREHOLDINGS	NUMBER OF SHARES	% OF ISSUED CAPITAL
NON-PUBLIC SHAREHOLDERS	23	0.4%	21 698 081	2.5%
Directors and Associates (Indirect Holdings)	15	0.3%	19 639 656	2.3%
Directors and Associates (Direct Holdings)	8	0.1%	2 058 425	0.2%
PUBLIC SHAREHOLDERS	5 922	99.6%	845 592 260	97.5%
TOTAL	5 945	100%	867 290 341	100%

BENEFICIAL SHAREHOLDERS HOLDING > 3% OF ISSUED SHARES	TOTAL SHAREHOLDING	% HELD
Government Employees Pension Fund	186 456 359	21.5%
Coronation Fund Managers	112 707 339	13.0%
Old Mutual Group	36 619 902	4.2%
Eskom Pension & Provident Fund	35 572 077	4.1%
JP Morgan (Custodian)	28 275 757	3.3%
TOTAL	399 631 434	46.1%

FUND MANAGERS HOLDING > 3% OF ISSUED SHARES	TOTAL SHAREHOLDING	% HELD
Public Investment Corporation	164 996 310	19.0%
Coronation Fund Managers	135 573 606	15.6%
Sesfikile Capital	56 870 522	6.6%
Meago Asset Management	47 148 904	5.4%
Old Mutual Investment Group	37 117 907	4.3%
Ninety One	34 294 061	4.0%
TOTAL	476 001 310	54.9%



Appendix 1 (continued)

Equites Property Fund Limited and its subsidiaries for the year ended 28 February 2026

SHAREHOLDER ANALYSIS (CONTINUED)

BENEFICIAL HOLDING BY REGION	TOTAL SHAREHOLDING	% HELD
South Africa	740 639 934	85.4%
United States	85 333 588	9.8%
Switzerland	18 956 020	2.2%
Mauritius	9 163 396	1.1%
United Kingdom	3 931 685	0.5%
Namibia	2 965 301	0.3%
Balance (not listed above)	6 300 417	0.7%
	867 290 341	100%

TOTAL NUMBER OF SHAREHOLDERS	5 945
TOTAL NUMBER OF SHARES IN ISSUE	867 290 341

SHARE PRICE PERFORMANCE

Opening Price 03 March 2025	R13.94
Closing Price 27 February 2026	R19.18
Closing High for period (27 February 2026)	R19.18
Closing Low for period (07 April 2025)	R13.35
Opening Price 01 March 2024	R12.95
Closing Price 28 February 2025	R13.90
Closing High for period (10 & 11 December 2024)	R15.10
Closing Low for period (25 April 2024)	R11.59
Number of shares in issue	867 290 341
Volume traded during period	313 940 075
Ratio of volume traded to shares issued	36.2%
Market capitalisation at 27 February 2026	R16 634 628 740





Glossary

2SD – Two standard deviations
3mJ – Three month JIBAR
AGM – Annual General Meeting
B-BBEE – Broad-Based Black Economic Empowerment
BOPA – BOPA Moruo ERF 497 Proprietary Limited
Board – The Board of Directors
bp – Basis point
CA(SA) – Chartered Accountant of South Africa
CEO – Chief Executive Officer
CFO – Chief Financial Officer
COO – Chief Operating Officer
CSDP – Central Securities Depository Participant
CSP – Conditional share plan
Companies Act – Companies Act, No. 71 of 2008
Company – Equites Property Fund Limited
DCF – Discounted Cash Flow
Deloitte – Deloitte & Touche
DMTN – Domestic Medium Term Note
ECL – Expected credit losses
EPPF – Eskom Pension and Provident Fund
Equites – Equites Property Fund Limited

FRSC – Financial Reporting Standards Council
FX – Foreign exchange
GBP – Pound sterling
GLA – Gross lettable area
Group – Equites Property Fund Limited and its subsidiaries
IAS – International Accounting Standards
ICR – Interest cover ratio
IFRS – International Financial Reporting Standards
Ilanga Lakusasa – Ilanga Lakusasa Proprietary Limited
IRBA – Independent Regulatory Board of Auditors
ISA – International Standards on Auditing
ISDA – International Swaps and Derivatives Association
JIBAR – Johannesburg Interbank Average Rate
JSE – JSE Limited
LTV – Loan-to-value
Mabel – Mabel Black Knight Investments 1 Proprietary Limited
NPC – Non-profit company
PIP – Plumbago Investment Platform Proprietary Limited
PwC – PricewaterhouseCoopers Inc.

REIT – Real Estate Investment Trust
RLF – Retail Logistics Fund Proprietary Limited
RMB – Rand Merchant Bank
SA – South Africa
SAICA – South African Institute of Chartered Accountants
SARB – South African Reserve Bank
Shoprite – Shoprite Checkers Proprietary Limited
S/SONIA – Sterling Overnight Index Average
TGP – Total guaranteed pay
UK – United Kingdom
VAT – Value Added Tax
VWAP – Volume weighted average price
ZAR – South African Rand
ZARONIA – South African Rand Overnight Index Average
bp – Basis point



Western Cape

✉ info@equites.co.za

☎ +27 21 460 0404

📍 14th Floor
Portside Tower
4 Bree Street
Cape Town
8001
South Africa

Gauteng

✉ info@equites.co.za

☎ +27 10 286 0469

📍 4 Meadowview Lane
Equites Park
Meadowview
Linbro Park
2065
South Africa

equites.co.za

